

TOPIC 1: ASSURANCE AND NON-ASSURANCE ENGAGEMENT

ASSURANCE ENGAGEMENT

- This is where a practitioner is engaged to measure a given subject matter that was the responsibility of another party against suitable criteria and express an opinion meant to provide the intended user with a level of assurance regarding the information content of the subject matter.

➤ Elements of assurance engagement. (MAY 2019q 2a)

1. **A three party relationship** consisting of;
 - The practitioner
 - The responsible party.
 - The intended user(s)
2. **Subject matter.**
3. **Suitable criteria** – characteristic of a suitable Criteria include; (May 2018 q5 a)
 - **Relevance:** relevant criteria contribute to conclusions that assist decision-making by the intended users.
 - **Completeness:** criteria are sufficiently complete when they include all relevant factors that could affect the conclusions.
 - **Reliability:** reliable criteria allow reasonably consistent evaluation of the subject matter.
 - **Neutrality:** neutral criteria so that conclusions that are free from bias.
 - **Understandability:** conclusions that are clear, comprehensive, and not subject to significantly different interpretations.
4. **Evidence** – Engagement process.
5. **opinion**

Classification of Assurance engagement.

- i. **Reasonable assurance vs Limited assurance**
- ii. **Attestation engagement vs direct reporting.**

Reasonable Assurance Engagement

- Is where the objective is a reduction of the assurance engagement risk to an exceptionally low level in the circumstances as a basis for a positive form of expression of an opinion.

Limited Assurance Engagement.

- Is where the objective is a reduction of the assurance engagement risk to a level that is acceptable in the circumstances but where the risk is greater than in a reasonable assurance engagement as a basis for a negative form of expression of opinion.

Distinction between reasonable assurance and limited assurance engagement (sept 2021 q 2a)

	Reasonable assurance	Limited assurance
Objective	the objective is a reduction of the assurance engagement risk to an exceptionally low level in the circumstances	the objective is a reduction of the assurance engagement risk to a level that is acceptable in the circumstances but where the risk is greater than in a reasonable assurance engagement
Engagement risk	Engagement risk is Lower	Engagement risk is Higher
Opinion	Positive form of expression of an opinion.	Negative form of expression of opinion
Level of assurance	High level of assurance	Low level of assurance
Set of procedures	Extensive procedures	Limited procedures

Attestation Engagement. (Nov 2015 q 4B(iv))

- This is where the practitioner declares that a given assertion is either correct or not correct.

Direct Reporting Engagement.

- This is where a professional accountant is engaged to give a special Report on some aspects of client's affairs.

Assurance Engagement Risk.

- This is the risk that the practitioner will give an inappropriate opinion when the subject matter information is materially misstated.
- The engagement risk is classified into 2: -
 - a) **Risk that the practitioner has no direct control over;**
 - i. **Inherent risk** – this is the susceptibility of the subject matter to material misstatement assuming there are no related controls.
 - ii. **Control Risk** – is the risk that the entity's internal controls will fail to detect material misstatement.
 - b) Risk that the practitioner has control of
- This includes Detection risk
 - i. **Detection risk** – is the risk that the practitioner procedures either will fail to detect material misstatement in the subject matter information because the procedure are inadequate, inappropriate or are poorly designed.

Level of assurance provided by Assurance Engagement

1. High level/ reasonable

- This is a level of assurance obtained when the practitioner has reduced the assurance engagement risk to an exceptionally low level in the circumstances to form a basis for a positive form of expression of opinion.
- Through high level, assurance is obtained, it is not absolute assurance.
- Absolute assurance is not possible due to inherent limitation of any process.

Inherent limitation.

1. Use of selective testing
2. Possibility of collusion.
3. Use of judgement
4. Inherent limitation of accounting and ICS
5. Characteristic of the subject matter.

2. Low level/ limited.

- This is a level of assurance that is obtained when the practitioner has reduced the assurance engagement risk to the level acceptable in the circumstances but where the risk is greater than in a case where reasonable assurance is desired.

Acceptance and continuous of an assurance engagement

The practitioner should only accept or continue with assurance engagement when;

- i. The practitioner is certain that the relevant ethical requirement including independence is satisfied.
- ii. The practitioner is satisfied that the person who will perform the engagement collectively have the appropriate competence and capabilities.
- iii. The basis upon which the engagement is to be performed have been agreed with through;
 - Establishing that the pre- condition of an assurance engagement is present.
 - Confirming that there is a common understanding between the practitioner and the engaging party on the terms of engagement.

Pre- conditions for assurance Engagement.

- In order to establish whether the pre- conditions of assurance engagement are present, the practitioner should determine whether;

Pre- conditions

- The roles and responsibilities of the appropriate parties are suitable in the circumstances.
- The underline subject matter is appropriate
- The criteria to be applied is suitable
- The criteria will be available to the intended users.
- The practitioner conclusion will be in appropriate form
- Rational/ purpose of the engagement exist.

Content of assurance reports.

- Title
- Addressee
- Practitioner's Signature.
- Practitioner's addressee
- Content and practitioner's conclusion.
- Identification of applicable criteria.
- A statement that the ethical requirement where complied with

- A statement that the engagement was performed in accordance was performed in accordance with ISA
Specific Audit Related services by Practicing Accountant.

1. Agreed upon procedures engagement.
2. Compilation engagement.
3. Review engagement.
4. Due diligence review Engagement.
5. Review of prospective Financial Information.
6. Compilation Engagement.

a. Agreed Upon Procedures Engagement (MAY 2017 Q4b)

- This is an engagement where a practitioner is engaged to carryout procedures of audit nature to which the practitioners the engaging party and any other relevant third party have agreed upon and report on factual finding.

Circumstances when the agreed upon procedure engagement will be appropriate.

- In investigating frauds and irregularities.
- In verifying insurance claims
- In reporting of non- financial data

General principles on agreed upon procedures Engagement

- The practitioner must comply with the fundamental principle outlined in the IFAC code which include;
- Integrity
 - Objectivity
 - Confidentiality
 - Professional Behavior.
 - Technical Standards.

Note: Independence is not a requirement in agreed upon procedures engagement.

Matters to be agreed upon

- Nature of the engagement
- Purpose of the engagement
 - Financial and non- financial information.
 - Nature, timing and extent of the specific procedures to be applied.
 - Anticipated form of report of factual findings.
 - Limitation of the distribution of the report of factual findings.

Example of the procedure applied in the Engagement

- Inquiring
- Analysis
- Re- computation and other clerical accuracy checks.
- Observation
- Inspection.
- Circularization.

Content of the report of factual findings.

- Title

- Addressee
- Date of the report.
- Practitioner's address and signature.
- A listing of the specific procedures performed.
- A statement that the procedures performed were those that were agreed upon with the recipient.

b. Compilation engagement.

- This is a non- assurance engagement in which a professional accountant is engaged to use accounting expertise as opposed to auditing expertise to collect, classify and summaries financial information.

Contents of the Report of compilation Engagement

- Title
- Addressee
- Date of the report.
- Accountant's signature.
- A statement that the engagement was performed in accordance with the international standards on related services applicable to compilation engagement.

Condition for accepting a compilation Engagement

- The practitioner must obtain the acknowledgment of the management regarding;
 - i. The financial information to be compiled by the practitioner.
 - ii. While the practitioner assists the management in preparing and presenting the financial information in accordance with the applicable framework the management retains responsibility for that information

c. Review Engagement (nov 2018 q4)

- It is a review of the entity's financial information other than the one that is done by the entity as part of the statutory audit.

Application of Review engagement.

- Review of interim Financial Statement.
- Due diligence review.
- Review of historical financial information

Elements in a review engagement

- Title
- Addressee
- Introductory paragraph
- A description of the practitioner responsibility.
- Date of the report
- Practitioner address and signature.

Distinction between a review engagement and an audit of financial statement.

- i. A review engagement provides limited assurance while an audit provides reasonableness.
- ii. Engagement risk in a review engagement is higher than in an audit.
- iii. In a review engagement the set of procedure professional performed are limited compared to those in an audit.

- iv. In a review engagement, the practitioner's opinion is expressed in a negative form while in an audit the opinion is expressed in a positive form.
- v. A review of financial informant is voluntary while an audit is a statutory requirement.

Pre- condition for accepting a review engagement. (May 2018 q1 a)

- Prior to accepting a review engagement, the practitioner should;
 - Determine whether the FRF applied in the preparation of the FS is acceptable
 - Obtain an acknowledgement from the management that they understand it is their responsibility to prepare Financial Statement in accordance with the applicable FRF.
 - Obtain an acknowledgment from the management that they understand it is their responsibility to implement controls necessary to ensure that the Financial Statement are free from material misstatement.
 - Obtain an agreement from the management that they will provide the practitioner with access to all information.
 - Obtain an agreement from the management that they will provide the practitioner with any addition information that the practitioner may request for the purpose of the review.
 - Obtain an agreement from the management that they will give the practitioner unrestricted access to persons within the entity from whom the practitioner may wish to obtain evidence.

d. Due Diligence Engagement

- This is where a practitioner is engaged to systematically carry out an assessment to reduce the risk associated with the transaction.
- Financial due diligence focuses on providing potential investors with an understanding of the company;
 - Sustainable economic earnings.
 - Historical sales trends
 - Historical workings capital needs
 - Key assumption used
 - Key personnel
 - Accounting information system

Areas where due diligence is applied

- Financial due diligence
- Operational/ IT due diligence
- People due diligence
- Regulatory due diligence
- Environment due diligence

Report on due diligence Review Engagement

- Typically, the report should consist of;
 - 1. Scope of the engagement.
 - 2. Executive summary which include;
 - History of target company
 - Nature of the target
 - Group structure

- Internal processes
- Principal activities
- Critical Accounting policies.
- Summary of the latest approved financial statement.

Contrast, Due Diligence & Audit

Audit	Due Diligence
Independent Auditor/ Accountant	Accountants experienced in such assignment
Scope is determined by ISAs	Scope is varied Determined by the buyer.
Involves detailed verification testing of F.S	Focuses on dead issues. Limited verification testing.
Typically covers the result for the year under audit.	Cover the last several years
Timing is dependent on stakeholders	Can range from 1 day desk review to several weeks of **

e. Engagement to review prospective Financial Information.

- Prospective financial information is information that is based on assumption about in the future and the actions the management is expected to make as of the date of that information.

TOPIC 2: NATURE, PURPOSE AND CLASSIFICATIONS OF AUDITS

- Auditing is an independent examination of the books of accounts, vouchers and records of the entity by an independent professional auditor to express an opinion on whether the financial statements reflects a true and fair view and have been prepared in accordance with the identified financial reporting framework.

Objectives of an audit of financial statements

- They are classified into
 - a) Primary objective
 - b) Secondary objective

Primary objective

- The primary objective is to enable the auditor to express an opinion on whether the financial statements give a true and fair view and have been prepared in accordance the financial reporting framework.

Secondary objective

- These are the by-product of audit which include
 - a) To detect frauds and errors. However, note that it is not the responsibility of the auditor to detect and prevent frauds and errors but that of management. The auditor should however approach the audit with professional skepticism. Professional skepticism is an attitude and expectation that the financial statement could be containing misstatements due to existence of frauds and errors. This attitude causes the auditor to be cautious, to employ a questioning mind, to interrogate audit evidence and remain alert to the contradictory information.
 - b) To provide advice to the management on how to improve on the systems.

EXPECTATION GAP

- This is the difference between the public perception on what auditors do and what auditors actually do.
- Examples of the common misconceptions include:
 - a) The public thinks that it is the auditor's responsibility to detect and prevent frauds and errors.
 - b) The public thinks that auditors provide absolute assurance.
 - c) The public think that the auditor provides assurance on different issues such as the future of the company, effective of the management etc.
 - d) The public think that auditor should report to the management.
 - e) The public think that the qualified report is more favorable than unqualified report

Elements or causes of expectation gap

1. Standard gap

- This gap arises where the public doesn't understand the auditing standards which provide framework around which an audit of financial statements is conducted.

2. Performance deficiency gap

- This gap arises when the auditor's performance falls short of expectations of the professional and legal requirement which require the auditor to exercise professional skills and due care in audit of financial statements

3. Liability gap

- The gap arises because the public does not understand legal responsibility of the auditor.

4. Unrealistic expectation

- The public sometimes has over expectation from the auditors, for example, the public expect the auditor to be able to detect all errors and frauds, the public expect the auditor to provide absolute assurance.

5. Standard deficiency gap

- This gap arises when the existing audit standards have not adequately addressed a unique situation that the auditor has encountered in the audit of the client.

Possible ways of eliminating expectation gap

- 1) The auditor should communicate to the users of his report to enhance their understanding of the auditing.
- 2) The accountancy professional bodies such as ICPAK should conduct public seminars to educate the public on the role of auditors especially on matters regarding frauds and the fact that it is difficult to detect frauds.
- 3) The accountancy professional bodies such as ICPAK should take disciplinary actions against auditor who compromise on the quality of the audit.

- 1) To prepare and present financial statements in accordance with the identified financial reporting framework.
- 2) To design and implement strong and effective systems of controls that are relevant to ensure that financial statements are not materially misstated.
- 3) To maintain proper books of accounts.
- 4) To select appropriate accounting policies
- 5) To make reasonable accounting estimates
- 6) To safeguard the company's assets by ensuring a proper record exists.
- 7) To prevent and detect frauds and errors
- 8) To file the relevant returns to the appropriate authorities
- 9) Consider the appropriateness of going concern basis of accounting

Responsibilities of the auditor with regards to the financial statements

- The auditor's primary responsibility is to express an opinion on the truthiness' and fairness of financial statements and report in the manner prescribed by the law and professional framework.
- The auditor must plan, document and perform the audit to obtain sufficient appropriate audit evidence which forms the basis of his opinion.
- In his audit report the auditor should include the following:
 - a) Whether the client company maintained proper books of accounts.
 - b) Whether he received all the information and explanation that he considered necessary for the purpose of the audit.
 - c) Whether he received all the returns from the branches
 - d) Whether the books of accounts are in agreement with the financial statements.
 - e) Whether the financial statements reflect a true and fair view and are prepared in accordance with the identified financial reporting framework.

CLASSIFICATION OF AUDITS

- Audit are may be classified in a variety of ways.
- It may be classified based on the context of audit, person doing the audit, timing of the audit and even the purpose for which the audit is carried out.

Classification of audits based on the context

- Audit is broadly classified into either as **external audit** or **internal audit**.

EXTERNAL AUDIT

- Is carried out by an external appointed independent whose main purpose is to enable the auditor to express an opinion on truth and fairness of financial statements.
- Further classified into two:
 - 1) Public / statutory audit
 - 2) Private/non-statutory/voluntary audit

PUBLIC / STATUTORY AUDIT

- A statutory audit is carried out as a legal requirement for all limited liability companies.
- According to the company's act each and every limited liability company shall appoint an auditor in each and every AGM.
- The auditor should lay before the members in the AGM the auditor's report and the audited financial statements.

- A statutory Audit is regulated by the company's Act ranging from appointment, right and duties, liability to reporting of the auditor.

Advantages of statutory audit

1. It enhances the credibility of the financial statements prepared by the management.
2. It protects the interests of the third parties who are involved the management of the business.
3. It acts a preventive and detective measure against frauds and errors.
4. The audited accounts can be used by the company for negotiating for loans from banking institutions.
5. The audited accounts can be used to determine the intrinsic value of the business in a business sale transaction.
6. The management of the company obtains valuable advices from the auditor on how to improve their operating systems and routines.

PRIVATE / VOLUNTARY AUDIT

- A private audit is a voluntary audit that is conducted out of own volition and is not legal requirement.
- Such may be the case of audit of sole traders, partnerships, not for profit making entities and others.

Advantages of a private audit for a partnership

1. It minimises dispute between the partners.
2. It protects the interest of the dormant partners.
3. The partners benefit from valuable advices provided by the auditor.
4. The audited accounts can be used by the partners in negotiating for loans from financial institutions.
5. The audited accounts can be used to determine the intrinsic value of the business sale transaction.
6. More vigilance in accounting function.
7. It is a preventive and detective measure against frauds and errors.

Disadvantages of an external audit

1. Potential leakage of confidential information to competitors as the auditor accesses all confidential records of the sole trader.
2. It may be expensive for a sole trader.
3. It may disrupt the normal operations.
4. The audit report may credibility due to absence of external scrutiny for private audits.
5. A qualified report will have a negative impact on the market value of the business for public audits.
6. It can only provide reasonable assurance at best as absolute assurance is not plausible.

Distinction between statutory/public audit and non-statutory /private audit

Aspect	Statutory/public	Non-statutory/private
Legality	It is a legal requirement	It is voluntary
Scope of work	The auditor uses his professional skill and judgement within the confines of the legal and professional framework, to determine the nature, timing and extend of work done.	The auditor's scope of work is determined through an agreement between the client and the auditor
Level of assurance	Reasonable assurance is provided	Limited assurance is provided.
Audit risk	Its exceptionally lower	It is comparatively higher
Auditors liability	May extend to third parties	Doesn't extend to third parties
Set of procedures	Extensive procedures	Limited procedures

Reporting	Auditor reports to the shareholders	Auditor report to members who wanted the audit to be done
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INTERNAL AUDIT

- It is a continuous independent appraisal of the company's operations, systems and procedures by an internal auditor to determine their relevance, effectiveness and efficiency and provide feedback to the management

Distinction between the internal audit and external audit

Aspect	Internal audit	External audit
Purpose	The purpose is to add value to company's operations	The purpose is to express opinion on the truthiness and fairness of the financial statements
Status of the auditor	Internal auditor is an employee of the company	External auditor is an independent contractor
Focus of the audit	The subject matter of the audit is activities and procedures	The subject matter of the audit is the financial statements
Scope of work	Scope of work is determined by the management	Scope of work is determined by
appointment	Internal auditor is appointed by the management	Auditor are appointed by the shareholders
Reporting	Internal auditor reports to the management	External auditor reports to the shareholders
Liability	Internal auditor is liable to the company under the terms of the employment	External auditor is legally responsible to the company under the terms of engagement and the liability may extend to third parties

CLASSIFICATION OF AUDIT BASED ON TIMING

- The audit may choose to start the audit work earlier in the year or wait until year end to commence and complete the audit in one session. The timing of audit is influenced by a variety of factors which include:
 - The deadline fixed by the client
 - Size of the clients business and volume of transactions
 - The extent to which the client can provide schedules and analysis
 - The extent to which the client has strong systems
 - The nature of the audit
 - The nature of the clients accounting systems i.e. whether manual or computerized
 - The quality of the client accounting systems.
 - Financial year ends of other audit clients
- There are three alternative timings of the audit
 - Continuous audit
 - Interim audit

3. Final/completed audit

Continuous audit

- Involves examination of transactions as they take place. The auditor visits the clients business to regular intervals throughout the financial year and performs examination of the client's records.

Conditions that are ideal for continuous audit

- In audit of large organization with huge volume of transactions.
- When auditing organizations with strict reporting deadlines.
- Where the client systems are very weak.
- Where the auditor is under special audit assignment
- Where the auditors has the client with similar year ends.

Work carried out during the continuous audit

- 1) Obtaining an understanding of the client business
- 2) Ascertaining and recording systems.
- 3) Evaluating systems (compliance testing)
- 4) Limited analytical review procedures.
- 5) Limited substantive testing

Advantages of continuous audit

- 1) Its facilitates faster completion of the audit.
- 2) Errors and frauds are detected at an early stage.
- 3) It reduces audit risk.
- 4) It facilitate preparation of management letter at early stage
- 5) It act as a preventive and detective against frauds and errors.
- 6) It boosts the effectiveness of internal control systems
- 7) It causes the client staff to be more vigilant and up to date with their accounting records

Disadvantages of continuous audit

- 1) It may be expensive for the business.
- 2) Figures already audited may be altered by the client staff.
- 3) It disrupts the client work due to many number of visits.
- 4) The client staff may depend on the auditor to solve their accounting problems.
- 5) Questions raised by the auditor may remain outstanding for long and may never be addressed.

Interim audit

This the audit that is done in the year, that is, before the year ends on financial statements that do cover the whole year.

Conditions that is ideal for interim audit

1. For companies intending to pay interim dividends.
2. For companies that are required by the law to publish interim financial statements such banks and other financial institutions.
3. Where the company is operating in a volatile environment.
4. Where the client has a strict reporting deadline.

Work carried out during the interim audit (May 2021 q1a)

1. Ascertaining and evaluating the accounting and internal control systems.
2. Recording and evaluating the systems

3. Limited analytical review procedures
4. Limited substantive testing
5. Vouching
6. Notifying the weakness in the systems and providing recommendations for improvement.
7. Planning the substantive procedures for the final audit
8. Identifying potential problem that may affect the final audit

Advantages of interim audit. May 2021 q1 b)

1. It facilitates declaration of dividend.
2. It enables the auditor to prepare management letter at an early stage.
3. It facilitates faster completion of the final audit.
4. It enables the auditor to plan for the audit.
5. Errors and frauds are detected at an early stage.
6. It acts as a preventive and detective measure against frauds and errors.
7. It is less costly compared to continuous audit.
8. It is less disruptive than continuous audit.

Disadvantages of interim audit

- 1) May be expensive for an average business
- 2) It may be disruptive.
- 3) Figures already audited may be altered by the client staff.
- 4) Errors and frauds are detected at much later stage compared to a continuous audit.
- 5) Client staff may depend on the auditor to solve their accounting problems.

Final / completed audit

- This is the audit that is conducted at the end of the year on the financial statements
- It is conducted in two ways :
 - ❖ In one session at the end of the year
 - ❖ As a continuation and completion of the audit that was started at continuous or interim audit

Work done during final audit

1. Updating auditor's knowledge on the client business and systems.
2. Determining whether the internal control systems have changed during the interim up to the year end.
3. Carrying out compliance testing.
4. Final analytical review procedures.
5. Final substantive testing
6. Vouching transactions
7. Aggregating errors.
8. Assessing the appropriateness of accounting policies
9. Assessing the reasonableness of accounting estimates.
10. Assessing the validity of going concern assumption of the company
11. Reviewing subsequent events.
12. Writing and signing audit report.

AUDIT STRATEGIES/APPROACHES

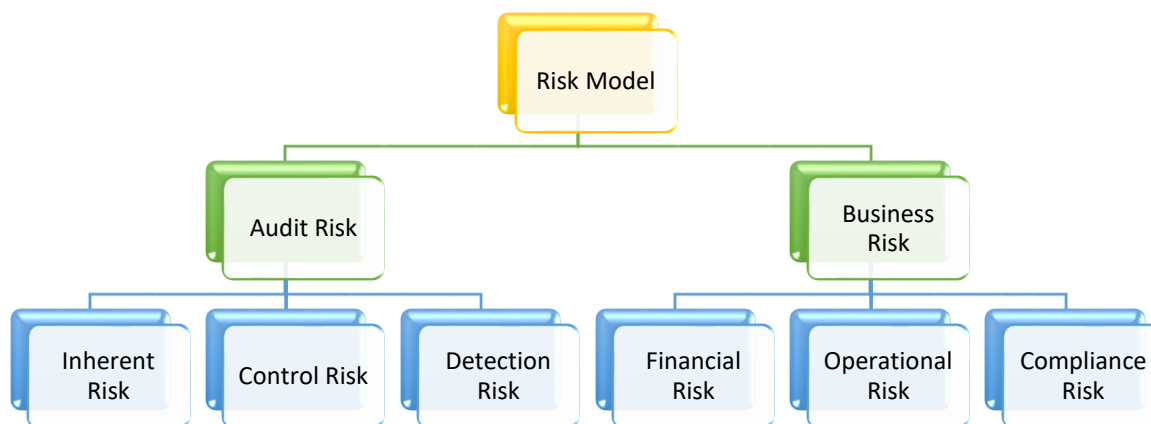
This refers to the methodology that an audit adopts to enable him to achieve primary objective of forming an opinion on financial statements. The usage of the methodology is dependent upon the prevailing circumstances and the risk assessment.

Examples of common Audit methodologies

1. The risk based audit approach.
2. System based audit approach.
3. Analytical review procedures approach.
4. Balance sheet audit approach.
5. Substantive audit approach.

Risk based audit approach

- This is the development of audit procedures that are sensitive to the risk factors of the audit
- The auditor applies judgment to determine the level of risk that applies to different areas of the client's systems. This approach is supposed to ensure that the government audit effort is connected to the areas in which the risk assessment is high and time is not wasted on unnecessary testing of safe areas.



- They are into categories;

1. Audit risk
2. Business risk

Audit risk – This is the risk that the audit for will give I appropriate opinion when financial statement is materially misstated. Audit risks have three components

- Inherent risk** – This is susceptibility of an account balance either individually or when aggregated with other to material misstatement assuming there is no related controls
- Control risk** – This is the risk that material misstatement will occur will occur in the accounts and entity's internal control systems will not prevent, detect correct the misstatement on a timely basis. The source of the risk is the quality of the client's internal control systems
- Detection Risk:** This is the risk that the auditor's procedures will fail to detect material misstatement either because the procedure are inadequate, inappropriate or they are poorly designed.

$$\text{Audit risk} = \text{TR} \times \text{CR} \times \text{DR}$$

Business Risk – These are the risks that are faced by a business as a result of being in operation. It's the risk that the client may fail to achieve one or more of its objectives which could affect its ability to continue as a going concern.

Components of business risk

1. **Financial risk** – These are the risks associated with financing function of the entity cash flows and uncertainties associated with financing decision eg credit risk, default risk, foreign currency fluctuation risks, interest rates fluctuation risks, liquidity cash flow risks.
2. **Operational risk** – These are the risks associated with the revenue generating activities of the enterprise eg
 - The risk of loss of major customer
 - The risk of losing major supplier or supplies
 - The risk of obsolescence of the key products of the company
 - Competition risk
 - The risk of being denied a major trading license.
3. **Compliance risk** – This is the risk that the company may fail to comply with laws and legislation which may lead to consequence such as fines, damages, a court order to wind up etc

Steps in a risk based audit approach

1. Obtain background knowledge about the client
2. Determine the level of overall audit risk that is acceptable.
3. Carry out inherent risk assessment & quantify it.
4. Carry out a control risk assessment and quantify it.
5. Solve the audit risk model as follow:

$$\text{AAR} = \text{IR} \times \text{CR} \times \text{DR}$$

$$\text{DR} = \frac{\text{AAR}}{\text{IR} \times \text{CR}}$$
6. The calculated detection risk is what will guide in determining the amount of testing that will be carried out in order to achieve the acceptable level of overall audit risk.
7. Substantive testing, the substantive test will be concentrated in the areas where the risk assessment is high.
8. Audit conclusions
9. Carry out final review of the audit.
10. Draft and sign the audit report.

Audit risk assessment

a) Inherent risk assessment

- This is the susceptibility/likelihood of an account balance either individually or when aggregated with others to material misstatements assuming there is no related controls.
- In assessing the inherent risk, the auditors consider factors at two level

i). Factors at transactional level (individual account balance)

ii). Factors at financial statement as a whole. (entity level)

Factors at transactional level (individual account balance)

1. Complex accounts such as those that require high degree of estimation, expert valuation, prior year adjustments etc.
2. Nature of the item. Eg cash and stocks are highly susceptible to loss and misappropriation in absence of the controls.
3. Related party transactions and balances.
4. Unusual transactions such as those that are not subject to ordinary processing.
5. The quality of the specific accounting systems processing specific balances.

Factors at financial statement as a whole. (Entity level) (MAY 2018 Q 4A)

1. The management integrity.
2. The management knowledge and experience.
3. Recent changes in management.
4. Unusual pressure on the management and staff.
5. Significant related party transactions and balances.
6. The nature of the business.
7. Factors affecting the industry.

b) Control risk assessment

1. Control risk is a risk that material misstatements will occur in the accounts and entity's internal control systems will not detect, prevent and correct the misstatement on a daily basis

Control risk assessment

Factors to consider in assessing the control risk

- i). The control environment that is the overall attitude of the managements towards the controls.
- ii). Quality of the staff
- iii). Segregation of duties
- iv). The presence and effectiveness of internal audit function.
- v). Authorization procedures
- vi). Quality of specific internal control systems.

c) Detection risk assessment

Factors to consider;

- i). The nature of the engagement i.e. a first time audit has a higher detection risk than a recurring audit.

- ii). Pressure on the auditor to complete the audit work
- iii). Complexity of specific balance or transaction
- iv). Inherent limitations of audit.

Advantages of risk based audit approach

- a) It helps avoid over/under auditing.
- b) It reduces the audit cost.
- c) It reduces auditor's exposures to legal litigations.
- d) It allows for delegation of audit work to more junior members of the audit team.
- e) It adds value to the client businesses.
- f) The approach involves the audit partner and senior managers of the client much more in the planning of the audit.

Limitations of risk based audit approach

- a) It's difficult to put quantitative value to risk.
- b) It may lead to mechanical approach to an audit.
- c) It is done with perception of fraud which changes the objective of the audit.
- d) A lot of time is wasted in risk assessment.

2. System-based audit approach

- In this approach, the auditors hope to place reliance on the client's internal control systems. The auditor begins with ascertaining and evaluating the systems to determine the extent that he can place on the systems.
- Where the systems are strong the auditor places reliance on them and will only perform limited substantive testing.
- If on the other hand, the systems are weak, the auditor will not place reliance on them and will therefore adopt the vouching audit approach which is characterized by extensive substantive testing.

3. Analytical review procedure approach

- In the ARP's approach, the auditor relies on ARP at all stages of the audit.
- ARP involves computation of significant accounting ratios, trend analysis, cross sectional analysis and reasonable checks. The procedures include the consideration of comparison of the entity's financial information with other data either in the financial statements or elsewhere.

Examples of analytical review procedures (NOV 2018 Q5A)

- Comparison of the entity's figures with prior year's figures to establish the trend and develop expectation.
- Comparison of the entity's figures with auditors' anticipated results such as budgets, forecast etc.
- Comparison with the industry averages or other similar firms.
- Ratio analysis
- Comparing financial information with non-financial information, such as comparing the payroll costs with the number of employees.

ARP's are done at three stages in audit:

- a) Planning stage
- b) During the audit
- c) Audit conclusions

ARP at planning stage

Purpose of ARP at the planning stage

- a) To obtain an understanding of the entity's business and its environment.
- b) To identify potentially problematic areas in the financial statements.
- c) To assess risk material misstatement.
- d) To enable the auditor to develop a suitable audit strategy.
- e) To determine the nature, timing and extent of further risk assessment procedures.
- f) To determine nature, timing and extent of further substantive audit procedures.
- g) To determine the staffing requirements.

ARP during the audit

- During the audit, the auditor uses ARP's as part of the substantive testing to gather audit evidence.

Factors that determine the extent to which the auditor might use analytical review procedures to gather sufficient appropriate audit evidence

- i). The reliability of the data.
- ii). The source information that is available.
- iii). Comparability of the information that is available
- iv). The nature and relevance of information that is available.
- v). Auditors risk assessment.
- vi). Availability of information to design the substantive analytical procedures.
- vii). Degree to which information can be decomposed or disaggregated.

Steps followed by the auditor when using substantive analytical reviews

- a) Develop an independent expectation
- b) Set a threshold that is the amount of deviation that the auditor would accept without further investigation.
- c) Compute the difference or deviation from expectation.
- d) Investigate significant deviation by carrying out further procedures including requiring the management explanations.
- e) Draw conclusions.

ARP, s at the audit conclusion

Purposes of ARP, s at the audit conclusion

- i). To evaluate the reasonableness of the financial statement taken as a whole.
- ii). To identify risk of material misstatement previously unrecognized.
- iii). To determine the nature and extend of any necessary further audit procedures.
- iv). To evaluate the validity of the entity's use of the going concern basis of accounting.

Substantive testing audit approach

- **Substantive test** is defined as all the test of details of transactions and account balances to prove the validity, accuracy, completeness and reliability of information in the accounting records.
- Note that substantive test is carried out in all approaches adopted by the auditor.

Joint audit approach

- A **joint audit** is a situation where two or more audit firms come together and agree to carry out audit of the same client together.

Advantages of a joint audit

1. Improved service due to different expertise of the different audit firms.
2. Improved geographical coverage
3. The client company may be too large to be audited by one audit firm.
4. It gives added assurance to the client.
5. The auditors share liability.
6. It facilitates faster completion of the audit
7. It leads to cost reduction through synergy.
8. Joint auditors learn from each other\

Disadvantages of joint audit approach

1. Each joint auditor takes responsibility for the others shorts coming.
2. It may be more expensive for the client
3. The audit methods of different audit firms may not easily reconcile.
4. Close control over division of work is not easy to attain.
5. It may lead to loss of future prospective clients.

Balance sheet audit approach

- This is an approach to the audit of financial statements where the auditor begins the audit work from the statement of financial position working backwards to the transactions that gave rise to the balances in the statement of financial position.
- The auditor concentrates on substantiating the financial statements assertions associated with the statement of financial position that is, existence, rights and obligations, valuation and completeness.

Circumstances under which it is appropriate

- When an interim audit has already covered basis tests.
- In recurring audits where the auditor had accumulated detailed knowledge of the client operations
- Where the client company is large and complex.
- Where the client systems are strong.
- Where the client is using a computerized accounting system.
- Where the auditor is under special audit assignment.

Advantages of a balance sheet audit approach

1. It's simple and easy to explain to the audit staff.
2. It is less expensive as it takes less time.
3. It facilitates faster completion of the audit.
4. It enables the auditor to attain the main objective of ascertaining the true and fair view of the financial statements.
5. It enables the detect frauds and errors in assets and liabilities which are material component of the financial statements.

Disadvantages of a balance sheet approach

1. It may be prejudicial since it is a partial audit
2. Frauds and errors outside the balance sheet may remain undetected.
3. It ignores the elements of the income statement yet the key concern of the majority of the users of the financial statements is the profitability in the firm.
4. It is sensitive and thus difficult to delegate.

TOPIC 3: AUDITORS LEGAL FRAMEWORK

- According to the company's act, every limited liability company shall appoint an external independent auditor in each and every AGM to hold the office from the conclusion of that AGM to the conclusion of the next AGM. He shall lay before members in every AGM the auditor's report and audited financial statements.

Appointment of auditors according to the company's act

Qualifications

- According to the company's act a person or a firm shall not qualify for an appointment as auditor unless each and every partner in practice is;
 - a. A fully qualified accountant
 - b. A member of ICPAK
 - c. Registered with RAB (Registration of Accountants Board)
 - d. In possession of a valid practicing certificate.

Ineligibility for appointment as a company's auditor

- According to the company's act, the following persons are ineligible for appointment as auditors;
 - 1) A servant or an officer of the company.
 - 2) A person who is in employment or in partnership with an officer of the company
 - 3) An un-discharged bankrupt person
 - 4) A person who is indebted to the company for huge sums of money.
 - 5) Any disqualified from auditing any member of the group of companies.
 - 6) A body corporate I.e. a limited company

Parties empowered to appoint the company auditors

- These are the parties empowered to appoint a company auditor by the company's act
 - a) **Appointment by shareholders** – the shareholders must appoint an auditor in each and every AGM to hold the office from the conclusion of that AGM to the conclusion of the next AGM

Automatic reappointment

- if the shareholders don't appoint an auditor in that AGM, the incumbent auditor is deemed to be automatically reappointed unless;
 - i. he has expressed his unwillingness in writing
 - ii. a resolution has been passed that he should not be reappointed
 - iii. he is disqualified by the company's act

b) appointment by directors

- directors are empowered to appoint an auditor in the following circumstances:
 - i. The first auditors of the company on incorporation
 - ii. To fill in a casual vacancy arising either out of death or incapacitation.
- c) **Appointment by registrar of companies**
- The registrar of companies is empowered to appoint an auditor where the 4 shareholders and the directors have failed to exercise their powers in appointing one within the stipulated period of time.

Legal rights of an auditor

- 1) A right to access the books of accounts and records of entity at all times
- 2) A right to access the company premises including branches at all times
- 3) A right to receive notices of and attend all general meetings of the members

- 4) A right to speak in the meeting
- 5) A right to remuneration
- 6) A right to seek legal and technical expertise
- 7) A right of a lien
- 8) Right to be indemnified of any cost incurred in defending himself against false accusations by the client.
- 9) Rights during his removal
 - a) Right to receive a notice of the intention to remove him from office.
 - b) A right to circulate written representation to the company members.
 - c) A right to receive yet another notice to attend the meeting that will discuss his removal
 - d) A right to make oral representation in the meeting

Vacation of auditors from the office

1. Removal of an auditor
2. Expiry of the term
3. Resignation
4. Incapacitation

Removal of an auditor

Causes of removal from office

- a) Disagreement with directors
- b) Negligence
- c) Professional misconduct
- d) Criminal involvement
- e) Disqualification by the company's act
- f) Conflict of interest
- g) Change in the ownership of the company

Procedures for removing an auditor

- 1) The company must give a notice to the auditor of not less than 28 days about the intention of removing him from the office.
- 2) The company must allow the auditor to circulate written representations to the company members
- 3) The company must yet send another notice to the members copied to the auditor to attend the meeting that will discuss his removal.
- 4) The company must ensure that there is quorum in the general meeting as stipulated by the company's A.O.A.
- 5) In the general meeting the auditor should be allowed to make oral representation.
- 6) The auditor's removal should be through a simple majority vote.

Resignation of an auditor

Causes of Resignation of an auditor

- a) disagreement with directors
- b) Failure of the client to pay audit fee
- c) Material limitation of the scope of work
- d) Conflict of interest
- e) Disqualification by the company's act
- f) An intention to remove him from office

Procedures by the resigning auditor

- 1) The auditor should give a notice of not less than 28 days to the company stating the date and time he is resigning from office
- 2) The auditor should accompany the notice with a statement of circumstances surrounding his resignation
- 3) The auditor should deposit the notice with the statement at the company's registered office.
- 4) The auditor should requisite for a general meeting of members to discuss his resignation.

Procedures by the company

- 1) The company should not accept the resignation from the auditor unless it is accompanied by a statement of circumstances surrounding his resignation.
- 2) Upon the receipt of the notice, the company must notify the registrar of companies, members and creditors of the company within a period not more than 14 days' failure to which the officer responsible will be criminally liable.
- 3) The company should call for a general meeting at the request of the auditor
- 4) The company should ensure there is quorum in the meeting as set out in the company's articles of association
- 5) Auditor's resignation will be through simple majority vote

AUDITORS LEGAL LIABILITY

Parties that can sue an auditor

- a) The client company as a body corporate
- b) The shareholders and other investors as third parties
- c) The government in criminal liability
- d) Government agencies e.g. KRA as third parties
- e) Creditors of the company as third parties
- f) Employees of the company as third parties
- g) Other users of the financial statements as third parties.

An auditor's liability falls into three categories:

- i) **Criminal liability.**
- ii) **Civil liability under statute: law of contract**
- iii) **Civil liability under the common law (under the law of torts)**

Criminal liability

- This arises when the auditor breaches a statute that is established through the act of parliament whose remedy is either imprisonment or a fine or both.
- Criminal liability arises where: (Sept 2021 q©)
 - i) the auditor assists the management to commit or cover up a fraud e.g. to evade tax

- ii) the auditor makes a false statement or publishes a misleading statement knowing very well that the statement is misleading
- iii) the auditor allows his name to be used in financial statements that he never audited
- iv) the auditor willfully destroys, mutilates or alters the financial statements of his client with the intention to commit a fraud
- v) The auditor continues to hold office knowing very well that he is not qualified hold office company auditor.
- vi) The auditor may be guilty of the offence of insider trading
- vii) Where the auditor knows or suspects a person in the entity has engaged on matters that are prejudicial to the public interest and does not report to the relevant authorities.

Civil liability under statute: civil liability under law contract

- This arises under the normal law of contract where when the auditor accepts the office of the statutory auditor he enters into a contract with the company as a body corporate and not individual shareholder.
- The contract has both the implied and expressed terms.
- One of the implied terms is that “the auditor will exercise professional skills and due care of the audit”. Should the auditor fail to exercise due care i.e. he acts negligently leading to a loss to the company, the company can sue him/her for damages
- The company must prove the following for it to succeed in its suit against the auditor on grounds of negligence:
 - i) That a contractual relationship existed and that the auditor owed the company a duty of care
 - ii) That the auditor breached the duty of care
 - iii) That the company suffered a loss and the loss can be objectively determined in monetary terms
 - iv) That there is a direct causal relationship between the loss suffered and the auditor’s negligence

Civil liability under common law (liability to third parties under Tort)

- A third party refers to any party who relies on the audited financial statements to make economic decisions and to whom the auditor does not have a direct relationship e.g. investors, lenders, shareholders etc.
- An auditor does not have a contractual relationship with third parties but may have a relationship with them in tort.
- According to the law of tort, everybody owes their neighbor a duty of care. Your neighbor is anyone who can be affected by your omission or commission of an act.
- The question in law is whether or not the auditor owes all the users of the financial statements a duty of care. The answer to this question lies in the context of the case and judicial precedence.
- A third party must prove the following for them to succeed in a suit against the auditor under tort:

- i) That a contractual relationship existed which is not obvious
- ii) That the auditor owed the third party a duty of care which is not obvious
- iii) That the auditor breached the duty of care
- iv) That the third party suffered a loss that can be objectively quantified in monetary terms
- v) That there was a direct causal relationship between the loss suffered and the auditor's negligence

Cases for legal precedence

1. Caparo industries Vs Dickman and others

- Caparo industries acquired Fidelity plc in 1984 on the basis of the company's profits. Subsequent to the takeover, Caparo alleged that the accounts were inaccurate and that the reported profit should have been in actual sense, a substantial loss.
- Caparo claimed that the auditors owed them a duty of care and thus proceeded filed a legal suit. The House of Lords concluded that the auditors of a public company owe no duty of care to the members of the public at large who rely on the accounts to make a purchase decision of the shares of the company.
- An individual shareholder stands in the same position as any other member of the public to whom the auditor owes no duty of care.
- The purpose of an audit was simply that of fulfilling a statutory requirement and there was nothing in the statutory duties of an auditor to suggest that they were intended to protect the interests of the investors in the market
- The presiding judge in relation to the Caparo case laid down the rules under which an auditor will owe a third party as follows:
 - i) The auditor must have been aware of the nature of the contemplated transactions
 - ii) The auditor must have known that his report would be communicated to third parties either directly or indirectly
 - iii) The auditor must have known that the third party would rely on the report in arriving at a decision on whether or not to engage in the contemplated transactions

2. Britannia Group Security ADT vs the auditor

- The auditor had audited the accounts of Britannia group 1988/1989 which ADT acquired for 105m pounds but later found to be only worth 40m pounds. Although under the Caparo case, auditors do not owe a general duty of care to third parties, the presiding judge found out that the audit partner was present in the meeting of the plenary to the acquisition and thereby had taken a contractual relationship with ADT.
- Held ADT were awarded damages.

3. Hedley Byrne & Co. ltd vs Heller & Partners

- Hedley Byrne was an advertising agency who intended to extend credit to Easy Power limited. They approached Heller as the company's bank for a reference in relation to Easy Power's credit worthiness. The

reference was given that the company was respected but the reference included a disclaimer on the part of the bank if the information was relied on for any investment decision.

- Hedley were awarded the damages hence the case was dismissed

4. Re Kingston Cotton Mills case

- In this case, the books of account had been falsified to a great extent by the Managing Director through extensive overvaluation of stock. Although the auditors had acted with due care they had missed the deception. The presiding judge stated that the auditor is a watch dog, not a blood hound. The auditor is not bound to be a detective but merely a watch dog. In this case, the directors were held liable to the shareholders for fraud.

Auditor's liability to banks and lenders

- The precedence of the Caparo case may not apply to banks. Banks often include a clause in the loan agreement referring to the audited accounts and requesting that they have access to the audited accounts on a regular basis or when they are evaluating a loan application. This means that a bank may document a relationship with the auditor to establish that a duty of care existed.

A case for Royal Bank of Scotland Bannerman vs Johnston McLeay and others

- The bank provided an overdraft facility to the company and later claimed that the company had misstated its position due to fraud and that the auditor was negligent in not discovering the fraud. The auditors claimed that they had no duty of care to the bank. The bank averred that the auditor ought to have known that the bank required the accounts as part of the overdraft arrangement and should have issued a disclaimer to the bank.
- Held: The fact that the auditor did not issue a disclaimer implied that the auditor owed a duty of care to the bank.

Factors that have led to increased lawsuits against auditors by third parties

1. A growing awareness of the responsibilities of auditors by users of financial statements
2. Increased cautiousness on the part of regulators such CMA of their responsibility to protect the investors' interests
3. Complexity of the auditing and accounting functions caused by increasing size of businesses, globalization and complexity of business operations.
4. Technological advancement which has increased audit risk e.g. audit track
5. Increased corporate frauds
6. The difficulties that judges have in understanding and interpreting technical accounting and auditing matters

Possible measures that auditors can take to minimize their legal liability

1. The auditor should strictly follow the ISAs in conducting an audit of the financial statements
2. The auditor should carry out proper screening of clients before accepting an audit engagement

3. The auditor should define in the auditor's report the precise work undertaken, the work not undertaken and any limitations to the work
4. The auditor should include appropriate disclaimers in the report
5. By stating the purpose of the report and stating that it should not be used for any other purpose
6. By advising the client at engagement level that they will be required to seek the auditor's permission to use his name and withholding the permission in appropriate cases
7. By implementing quality control procedures in the audit
8. Continuous training of audit staff
9. Engaging/seeking the services of an expert to assist in technical areas
10. Define the scope of the audit in the engagement letter and agreeing with the client on the same before the commencement of the audit

Restricting or limiting the auditor's liability

1. Taking a professional indemnity insurance cover

Advantages of indemnity insurance cover

- i) It provides funds for innocent third parties to be compensated in the event of them suffering financial losses due to an auditor's negligence
- ii) It provides protection against bankruptcy of the auditor in the event of a successful litigation

Disadvantages

It may encourage auditors not to exercise due care

2. Out of court settlement

- the auditor negotiates with the third party without going through the court process

Advantages

- a) -a lower settlement figure may be reached at than would have been if it were to go through a court process
- b) -it avoids expensive litigation costs
- c) -the auditor avoids adverse publicity

Disadvantages

- a) -the third party may not be fully compensated
- b) -the final responsibility is left undetermined
- c) -the recklessness/negligence may continue within the audit firm
- d) -this may bring disrepute to the profession if the settlement figure becomes public knowledge

3. signing a liability limitation agreement with the audit client (Financial cap)

- This is where the auditor will agree with the client the maximum amount to be paid by the auditor in case of a successful litigation.

Implications of signing a liability limitation agreement for the profession

- i) the auditor may take less care because he is not prone to any risk
- ii) the confidence placed by the users of audited financial statements will be significantly reduced
- iii) It will create unhealthy competition in the market as larger audit firms that are able to give a higher cap will have an advantage over smaller audit firms.
- iv) challenges will arise in defining the cap and deciding what is fair and reasonable

4. Registering the practice as a limited liability partnership

5. Proving joint and several liabilities and sharing liability with the directors who are responsible for the financial statements.

ISA 250: Consideration of Laws and Regulations in an Audit of Financial Statements

- This ISA distinguishes the auditor's responsibilities in relation to compliance with two different categories of laws and regulations as follows:
- The provisions of those laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures on the financial statements such as tax and pension laws and regulations; and
- Other laws and regulations that do not have a direct effect on the determination of the amounts and disclosures

It is the responsibility of management, with the oversight of those charged with governance to ensure that the operations of an entity are conducted in accordance with the provisions of laws and regulations, including compliance with the provisions of laws and regulations that determine reported amounts and disclosures in the financial statements but compliance with which may be fundamental to the operating aspects of the business, to an entity's ability to continue its business or to avoid material penalties (e.g. Complying with terms of an operating license, compliance with regulatory solvency requirements, or compliance with environmental regulations); non-compliance with such laws may therefore have a material effect on the financial statements.

- the objectives of the auditor with regards to laws and regulations are as follows:
- i) To obtain sufficient appropriate audit evidence regarding compliance with the provisions of those laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures in the financial statements
- ii) To perform specified audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements
- iii) To respond appropriately to identified or suspected non-compliance with laws and

regulations identified during the audit

Note: The auditor may have additional responsibilities under law, regulation or relevant ethical requirements regarding an entity's non-compliance with laws and regulations which may differ from or go beyond this ISA, such as:

- Responding to identified or suspected non-compliance with laws and regulations, including requirements in relation to specific communications with management and those charged with governance assessing their appropriateness of their response to non-compliance and determining whether further action is required
- Communicating identified or suspected non-compliance with laws and regulations to other auditors (e.g. in an audit of group financial statements)
- Documentation requirements regarding identified or suspected non-compliance with laws and regulations

Examples of such laws and regulations include those that deal with:

- Fraud, corruption and bribery
 - Money laundering, terrorism funding and proceeds of crime
 - Securities marketing and trading
 - Banking and other financial products services
 - Data protection
 - Tax and pension liabilities and payments
 - Environmental protection
 - Public health and safety
- Non-compliance-acts of omission or commission, intentional or unintentional, committed by the entity, committed by those charged with governance, by management or other individuals working for or under the direction of the entity, which are contrary to the prevailing laws and regulations.
- As part of obtaining an understanding of the entity and its environment in accordance with ISA 315, the auditor shall obtain a general understanding of:
- i) The legal and regulatory framework applicable to the entity and the industry or sector the entity operates;
 - ii) How the entity is complying with that framework

The auditor shall perform the following audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements:

- a) Inquiring of management, and where appropriate, those charged with governance, as to whether the company is complying with such laws and regulations; and
 - b) Inspecting correspondence, if any, with the relevant licensing and regulatory authorities
- During the audit, the auditor shall remain alert to the possibility that other audit procedures applied may bring instances of non-compliance or suspected non-compliance with laws and regulations to the auditor's attention.
 - The auditor shall request management, and where appropriate, those charged with governance, to provide written representations that all known instances of non-compliance or suspected non-compliance with laws and regulations whose effects should be considered when preparing financial statements have been disclosed to the auditor.

Audit procedures when non-compliance is identified or suspected

- If the auditor becomes aware of information concerning instances of non-compliance or suspected non-compliance with laws and regulations, the auditor shall obtain:
 - An understanding of the nature of the act and the circumstances under which it has occurred; and
 - Further information to evaluate its effect on the financial statements
- If the auditor suspects there may be non-compliance, he/she shall discuss the matter, unless prohibited by law or regulation, with the appropriate level of management, and where appropriate, those charged with governance. If management or, appropriate, those charged with governance do not provide sufficient information that the entity is in compliance with laws and regulations and, in the auditor's judgment, the effect of non-compliance may be material to the financial statements, the auditor shall consider seeking legal advice.
- If sufficient information about the suspected non-compliance cannot be obtained, the auditor shall evaluate the effect of the lack of sufficient appropriate audit evidence on the auditor's opinion.
- The following are examples of types of policies and procedures that an entity may implement to assist in the prevention and detection of non-compliance with laws and regulations:
 - Monitoring legal requirements and ensuring that operating procedures are designed to meet these requirements

- Instituting and operating appropriate systems of internal control
- Developing, publicizing and following a code of conduct
- Ensuring employees are trained and understand the code of conduct
- Monitoring compliance with the code of conduct and acting appropriately to discipline employees who fail to comply with it
- Engaging legal advisors to assist in monitoring legal requirements
- Maintaining a register of significant laws and regulations with which the entity has to comply with in its industry and a record of complaints. In larger entities, these policies and procedures may be supplemented by assigning appropriate responsibilities to the following:
 - i) An internal audit functions
 - ii) An audit committee
 - iii) A compliance functions

Money laundering and the auditor

- Money laundering refers to the process of legitimizing money received from illegal sources such as crime, corruption and drug trafficking i.e. the cleaning of ill-gotten money so it can appear to have originated from legitimate sources.
- The aim of money laundering is to conceal the true origin and ownership of the proceeds of criminal activities.
- Examples of illegal activities include drug trafficking, terrorism financing, human trafficking, smuggling of goods, counterfeiting of currencies, sexual exploitation and piracy.

The money laundering process

1. Receipt of illegal money
2. Placement –this refers to the introduction of the illegitimate money into the financial system.
3. Layering –a series of financial transactions meant to change the form of the illegitimate money and make it difficult to locate its source. Examples :
 - i. Several bank to bank transfers
 - ii. Wiring transfers between different accounts
 - iii. Make deposits and withdrawals so that the amount of money in the account keeps on varying continually
 - iv. Purchasing high value items to change the form of money
 - v. Receiving fictitious invoices
4. Integration –the process through which the illegally obtained funds reenter the financial system in a legitimate form. At this stage, it is very difficult to recognize the money laundering activities.

Money laundering methods /strategies

- i) Structuring deposits or snuffing
 - This entails breaking up large amounts of money into smaller less conspicuous amounts .the money is then deposited into one or more bank accounts either by multiple people(snuffs) or a single person over an extended period of time.
- ii) Shell companies
 - These are fictitious companies that are created form the sole purpose of money laundering. They accept illegal money as payment for goods and services which were never provided
- iii) Overseas banks
 - Money launderers often send money through various bank accounts in offshore locations.
- iv) Alternative or underground banking
 - Some countries have well established alternative banking systems that allow for undocumented deposits, withdrawals and transfers.

Offences of money laundering that may be committed by accountants

- i) Handling the proceeds of crime or advising on the use of such monies
- ii) Failure to report knowledge or suspicion of money laundering activities to the appropriate authorities
- iii) Tipping off-making disclosures which are likely to prejudice an investigation into money laundering
- iv) Failure to comply with specific regulatory requirements in relation to money laundering
- v) Arranging the use or possession of proceeds of crime

Policies and procedures a firm of CPAs should establish in order to meet its responsibility in relation to money laundering

- i) Appointment of a compliance officer who shall be in charge of receiving and evaluating reports of money laundering from colleagues and recommending further investigations
- ii) Conducting employee training and awareness on the relevant legislations and the consequences of non-compliance
- iii) Conducting customer due diligence
- iv) Enhancing record keeping systems
- v) Reporting suspicious transactions
- vi) Putting in place systems of control to manage the risk that the firm is exposed to in terms of money laundering

TOPIC 4: THE AUDITOR'S PROFESSIONAL FRAMEWORK

- The audit profession regulations can be classified into two levels:
 - a) Regulations at the local /national level through ICPAK, KASNEB, RAB and the Accountant's Act
 - b) International level through the IFAC code.
- The international Federation of Accountants (IFAC) is an international, non-governmental, not-for profit organization whose members are countries that subscribe to the International Accounting Standards.
- IFAC operates through various sub-committees each of which has a specific mandate. The subcommittees include: IESBA, IAASB, IASB, and IPSASB.

The International Ethics Standards Board for Accountants (IESBA)

- This is a sub-committee of the IFAC with the mandate of developing and enforcing compliance with the professional code of ethics for practicing accountants. The code of ethics prescribes the acceptable code of behavior for members in practice. The code contains fundamental principles and other guidelines that professional accountants must observe.
- A distinguishing mark in the accountancy profession is its acceptance to act in the public interest. In order to ensure this, the accountant should observe and comply with this code of ethics for professional accountants. This code of ethics is in form of:
 - i) Fundamental principles
 - ii) Other professional guidelines

The Fundamental principles

- a) Integrity
- b) Objectivity
- c) Confidentiality
- d) Professional competence, skill and due care
- e) Professional behavior

i) Integrity

- The professional accountant must be honest and straightforward in all professional and other relationships. A professional accountant should not be associated with reports or information where they believe that the information or report:
 - Contains material false or misleading statements

- Contains statements or information furnished recklessly
- Omits information required to be included and such omission would be misleading

ii) Objectivity

The professional accountant should be fair and should not allow any prejudice, bias or conflict of interest or undue influence of others to compromise their professional judgment at all times.

iii) Confidentiality

The professional accountant should refrain from divulging confidential information obtained from professional relationships to third parties without the explicit permission of the client.

Exceptions to the rule of confidentiality

The following are the circumstances when the professional accountants are and may be required to disclose confidential information or when such a disclosure is appropriate:

- When the disclosure is authorized by the client or employer.
- When the giving evidence is in the course of legal proceedings.
- When the information is required by the regulatory authorities such as KRA, CMA etc.
- When the auditor becomes aware of or suspects that the client has engaged in acts that are prejudicial to the public interest, he has a public responsibility to report the same to relevant authorities.
- To comply with quality control procedures
- To respond to an inquiry by a professional member body or regulator.
- To comply with technical standards and ethical requirements

Matters to consider in deciding whether to disclose confidential information

- a) Whether the interests of all parties including third parties would be harmed if the information is disclosed
- b) Whether all relevant facts are known and are substantial
- c) The type of communication that is expected and to whom it is to be addressed

Importance of confidentiality

- a) Promotes trust between clients and auditors
- b) It is a fundamental principle i.e. all practicing accountants must observe confidentiality
- c) Auditors have a legal duty to maintain the confidentiality of the client's information unless there is a report of illegal activities
- d) To safeguard the client secrets

iv) Professional behavior

- The professional accountant must comply with relevant laws and regulations. The accountant should avoid actions and circumstances that could bring discredit /disrepute to the profession.
- In marketing and promotion of oneself, the accountant should not bring the profession to disrepute. They should always be honest and truthful and should not:
 - Make exaggerated claims for services they are able to offer than qualifications or experiences they possess
 - Make disparaging references or unsuitable comparison to the work of others

v) Professional competence and due care

The professional accountant should:

- Maintain professional knowledge and skills at a level required to ensure clients receive competent professional services based on current developments in Practice, legislations and technology.
- Act diligently in accordance with applicable ethical and professional standards when providing professional services. Diligence encompasses the responsibility to act in accordance with the requirements of an assignment carefully, thoroughly and on a timely basis.

OTHER PROFESSIONAL GUIDELINES

1. Obtaining professional work
2. Changes in professional reappointments
3. Advertising and publicity
4. Independence
5. Other ethical issues

1. Obtaining professional work

- A professional accountant should not obtain professional work in unprofessional manner. he should not pay any fee or reward or commission to a third party for introducing him to a client.

2. Changes in professional reappointments

- a member in practice who is nominated auditor should;
 - a) First seek permission from the client to communicate with the predecessor auditor. If the permission is denied, reject the appointment.
 - b) If the permission is granted the nominee should request the predecessor auditor in writing of all the information that he ought to be made know to him.

- c) When the predecessor auditor gets the nominees request, he should first seek permission from the client to communicate with the nominee freely with regards to client affairs.
- d) If the permission is not granted the nominee should reject the appointment

3. Advertising and publicity

- A professional accountant is not permitted to advertise his services directly to the client as this will compromise his compliance with fundamental principles such as integrity.
- A member in practice can however place advertisement when:
 - a) Acting on the behalf of the client
 - b) Acting in fiduciary capacities
 - c) Seeking for staff
 - d) Seeking for sub contractual work
- Paid announcements in the medial are permitted in the following:
 - a) Opening of a new office
 - b) Change in the name or address of the firm
 - c) Change in the membership of the audit firms
 - d) Appointment of a new member

4. Independence

- This is essentially attitude of mind characterized by integrity, objectivity and professional skepticism in approach to professional work.
- The auditor must be and must be seen to be independent.
- Independence is exercised into 2 levels;
 - a. Independence of mind
 - b. Independence in appearance

Independence of mind/infect

This is a state of mind that permits expression of a conclusion without being affected by influences that comprise his professional judgement thereby allowing an individual to act with integrity, objectivity and professional skepticism.

Independence in appearance

This avoidance of facts and circumstances that can cause a reasonable and informed third part suspect or conclude that auditor's integrity, objectivity and professional skepticism has been compromised.

Threats to auditor's independence and compliance with fundamental principles

- they are in 5 categories
 - a) **Self-interest threat**
 - b) **Self-review threat**
 - c) **Familiarity threat**
 - d) **Advocacy threat**
 - e) **Intimidation threat**

a) Self-interest threat

- Self-interest threats are threats that arise from auditors acting in their own interest. Self-interests include auditors' emotional, financial, or other personal interests. Auditors may favor, consciously or subconsciously, those self-interests at the expense of performing a quality audit. For example, auditors' relationships with auditees create a financial self-interest because auditees pay the auditors' fees. Auditors also have a financial self-interest if they own stock in an auditee and may have an emotional or financial self-interest if an employment relationship exists between an auditor's spouse and an auditee.

Examples of circumstances that create self-interest threats for a professional accountant in public practice include:

- A member of the assurance team having a direct financial interest in the assurance client.
- A firm having undue dependence on total fees from a client.
- A member of the assurance team having a significant close business relationship with an assurance client.
- A firm being concerned about the possibility of losing a significant client.
- A member of the audit team entering into employment negotiations with the audit client.
- A firm entering into a contingent fee arrangement relating to an assurance engagement.
- A professional accountant discovering a significant error when evaluating the results of a previous professional service performed by a member of the professional accountant's firm.
- An auditor may address this threat by ensuring appropriate disclosure of factual information during the engagement process or even disengaging from the client.

b) Self-review threat

- Self-review threats are threats that arise from auditors reviewing their own work or the work done by others in their firm. It may be more difficult to evaluate without bias one's own work, or that of one's firm, than the work of someone else or of some other firm. Therefore, a self-review threat may arise when auditors review judgments and decisions they, or others in their firm, have made

- This arises when an auditor is providing multiple services to his/her client such as compilation of financial statements as well as providing auditing services. Such auditors may be perceived to be reviewing their own work.

Examples of circumstances that create self-review threats for a professional accountant in public practice include:

- A firm issuing an assurance report on the effectiveness of the operation of financial systems after designing or implementing the systems.
 - A firm having prepared the original data used to generate records that are the subject matter of the assurance engagement.
 - A member of the assurance team being, or having recently been, a director or officer of the client.
 - A member of the assurance team being, or having recently been, employed by the client in a position to exert significant influence over the subject matter of the engagement.
 - The firm performing a service for an assurance client that directly affects the subject matter information of the assurance engagement.
- Audit firms may address this threat by creating departments in such a way that the members of staff involved in the provision of audit services are independent from those performing other non-assurance services. This is known as the creation of “Chinese walls”

c) Advocacy threat

- Advocacy threats are threats that arise when auditors or others in their firm promote or advocate for or against an auditee or its position or opinion rather than serving as unbiased attesters of the auditees’ financial information. Such a threat may be present, for example, if auditors or others in the auditing firm serve as promoters for an auditee’s securities
- Examples of circumstances that create advocacy threats for a professional accountant in public practice include:
 - The firm promoting shares in an audit client.
 - A professional accountant acting as an advocate of an audit client in litigation or disputes with third parties.
- Advocacy threat may be minimized by either engaging other independent experts who are neutral or considering the appropriateness of arbitration in the circumstances.

d) Familiarity threat

- Threats that arise when auditors are influenced by a close relationship with an auditee. Such a threat is present when auditors are not sufficiently skeptical of an auditee’s assertions and, as a result, too readily accept an auditee’s viewpoint because of their familiarity with or trust

in the auditee. For example, a familiarity threat may arise when an auditor has a particularly close or long-standing personal or professional relationship with an auditee.

Examples of circumstances that create familiarity threats for a professional accountant in public practice include:

- A member of the engagement team having a close or immediate family member who is a director or officer of the client.
 - A member of the engagement team having a close or immediate family member who is an employee of the client who is in a position to exert significant influence over the subject matter of the engagement.
 - A director or officer of the client or an employee in a position to exert significant influence over the subject matter of the engagement having recently served as the engagement partner.
 - A professional accountant accepting gifts or preferential treatment from a client, unless the value is trivial or inconsequential.
 - Senior personnel having a long association with the audit client
- This type of threat can however be minimized through various ways such as encouraging the client to have a rotational policy of external auditors or by ensuring that audit firms periodically rotate senior audit team members during audit engagements.

e) Intimidation threat

Intimidation threats are threats that arise when auditors are, or believe that they are being, overtly or covertly coerced by auditees or by other interested parties. Such a threat may arise, for example, if an auditing firm is threatened with replacement over a disagreement about an auditee's application of an accounting principle, or if an auditor believes that an auditee's expression of client dissatisfaction would damage his or her career within the firm.

Examples of circumstances that create intimidation threats for a professional accountant in public practice include:

- A firm being threatened with dismissal from a client engagement.
- An audit client indicating that it will not award a planned non-assurance contract to the firm if the firm continues to disagree with the client's accounting treatment for a particular transaction.
- A firm being threatened with litigation by the client.
- A firm being pressured to reduce inappropriately the extent of work performed in order to reduce fees.
- A professional accountant feeling pressured to agree with the judgment of a client employee because the employee has more expertise on the matter in question.
- A professional accountant being informed by a partner of the firm that a planned promotion will not occur unless the accountant agrees with an audit client's inappropriate accounting treatment.

Safeguards to threats to independence

1. Always follow the ISAs in the audit of the financial statements.
2. Proper screening of the client before accepting the appointment.
3. Training the staff on the importance of independence.
4. Implementing quality control procedures.
5. Having an internal regulatory system relevant to ethical requirements.
6. The client company implementing policies of not accepting gifts from the clients.
7. Audit reviews i.e second partner reviews
8. ICPAK taking disciplinary actions for members who compromise their professional services.

Professional Misconduct

According to the Accountants Act, 2008 member of the Institute shall be guilty of professional misconduct if such member—

- a) Allows any person to practice in his name as an accountant, unless such person is the holder of a practicing certificate and is in partnership with him or employed by him;
- b) enters, for the purpose of or in the course of practicing as an accountant, into partnership with a person who does not hold a practicing certificate, or secures any professional business through the services of such a person or by means not open to an accountant;
- c) Pays or allows or agrees to pay, directly or indirectly, to any person (other than a person who holds a practicing certificate, is a retired partner or the legal representative of such a partner), any share, commission or brokerage out of the fees for, or profits of his professional services;
- d) accepts or agrees to accept any part of the fees of, or profits for, the professional work of an advocate, auctioneer, broker or other agent who is not the holder of a practicing certificate;
- e) Solicits clients or professional work or advertises professional attainments or services by use of means which contravene the guidelines published by the Council;
- f) discloses information acquired in the course of professional engagement to any person other than a client, without the consent of the client, or otherwise than required by law;
- g) certifies or submits in his name or in the name of his firm a report of an examination of financial statements, where the examination of such statements and the related records have not been made by him or a partner or an employee in his firm;
- h) Fails to observe and apply professional, technical, ethical or other standards prescribed by the Council as guidelines for practice by members of the Institute;

- i) permits his name or the name of his firm to be used in connection with an estimate of earnings contingent upon future transactions in a manner which may lead to the belief that he vouches for the accuracy of the forecasts;
- j) expresses his opinion on financial statements of any business or any enterprise in which he, his immediate family, his firm or any partner in his firm, has an interest, unless he discloses that interest when expressing the opinion;
- k) Charges, in respect of any professional employment other than insolvency or receivership, fees which are based on a percentage of profits or which are contingent on results;
- l) fails to disclose in a financial statement or otherwise a material fact known to him the disclosure of which is necessary to ensure that the financial statement is not misleading;
- m) Fails to report a material misstatement known to him to appear in a financial statement with which he is concerned in a professional capacity;
- n) Is guilty of gross negligence in the conduct of his professional duties;
- o) Expresses an opinion on any matter with which he is concerned in a professional capacity without obtaining sufficient information on which to base the opinion;
- p) Fails to keep the funds of a client in a separate banking account or to use any such funds for purposes for which they are intended;
- q) Includes in any statement, return or form to be submitted to the Council any particular knowing it to be false; or
- r) Is found to engage in any other fraudulent acts, or (s) fails to do any other act which may be prescribed.

Other ethical issues

i) Audit fees

This should be negotiated between the client and the auditor and should be based on the following factors:

- Time spent by the auditors on the assignment
- The nature of work done
- The nature of the engagement contents
- The risk involved
- The complexity and technicality of the work
- The size of the audit firm
- Engagement of experts in audit
- Prevailing market rate /fees charged by other audit firms

ii) Low balling

- This refers to the practice of charging a fee that is below the prevailing market rate or tendering below the market price. This is common to a newly established audit firm aiming at undercutting others when obtaining a client.
- This practice is unethical i.e. when charging audit fees at a significantly lower level than that charged by a predecessor auditor or other audit firm, this may create self-interest threat to reduce the amount of work done to unacceptable levels unless the audit firm is able to demonstrate that sufficient time and qualified staff will be assigned to the assignment and that the auditor has complied with applicable auditing standards, guidance and quality control procedures.

iii) Undue dependence

- This arises where an auditor earns a significant portion of his audit fee from a single client or a group of interrelated clients.
- When the total fees generated from a client is more than 15% of the audit firm's gross revenue, the dependence of that client and the concern of the possibility of losing the client may create a self-interest threat.
- The possible safeguards of this threat could include:
 - Taking steps to reduce dependence with that client
 - External quality review

iv) Contingent fees

- This refers to fees determined on the basis of a predetermined factor dependent on the outcome or the performance of an entity i.e. a fee that is charged as a percentage of performance.
- This threat can be addressed as follows:
 - Disclose to the audit committee the nature of the fee charged
 - quality control
 - Determination of the final fees by a third party who is not related to the auditor
 - Contingent fees charged by an audit firm creates self-interest. An audit firm should not enter into any fee arrangement when the audit fee is based on contingent of the results.

v) Overdue fees

A self-interest threat may arise when an audit client for audit fees for a long time especially if a significant fee is outstanding/in arrears before the auditor issues an audit report for the

subsequent year. The audit firm should consider whether the overdue fees might be regarded as equivalent to a loan from the client. The audit firm should also consider if they should still accept reappointment or decline

vi) Opinion shopping

- This is a practice whereby a client searches for an auditor who will provide them with an unqualified audit opinion. The client company in most cases may opinion shop for an auditor who can overlook the ISA guidance and express a favorable audit opinion.
- The following are the possible actions that can be taken as safeguards against opinion shopping:
 - Client screening before acceptance or rejection of the engagement
 - Communicating with the predecessor auditor
 - Quality control and review before issuing an opinion

vii) Conflict of interest

- It arises when an auditor pursues his/her own personal interests at the expense of professional interests or audit objectives i.e. auditor applying double standards in an audit.
- Circumstances that may result to conflict of interest include:
 - When an auditor provides professional services to competing clients or rival companies in the same market.
 - Where an auditor provides multiple services to a client e.g. accounting, outsourced internal audit and audit services
 - Where an auditor has a financial interest or is acting as a shareholder of an entity
 - Where an auditor is engaged in designing and implementing the client's accounting system and the related internal controls.

Possible safeguards for conflict of interest

- Notify the client of the competing clients or relevant parties of the rivalry
- Using different members of staff to provide non-audit services and audit services
- withdrawing or resigning from an audit client especially when dealing with rival companies
- Disposing of or reducing the level of any financial interests to the minimum
- using confidentiality agreements signed by employees and audit partners when dealing with competing clients.

Audit cycles/ steps of an audit

- 1. Engagement.**
- 2. Background knowledge**
- 3. Planning for the audit.**
- 4. Ascertaining the systems (compliance testing)**
- 5. Substantive testing to gather audit evidence**
- 6. Final analytical review procedures**
- 7. Final review of the audit**
- 8. Drafting and signing of the audit report**

Engagement.

- An auditor shall evaluate every audit and accept or continue an audit engagement only when the basis upon which it is to be performed has been agreed, through:
 - a) Establishing whether the preconditions for an audit are present;
 - b) Confirming that there is a common understanding between the auditor and management and, where appropriate, those charged with governance of the terms of the audit engagement.
- In order to establish whether the preconditions for an audit are present, the auditor shall:
 - i. Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable.
 - ii. Obtain the agreement from management that it acknowledges and understands its responsibility to prepare financial statements in accordance with the identified financial reporting framework.
 - iii. Obtain an acknowledgement from the management that it's their responsibility to put internal control's systems that are relevant to ensure that financial statements are not materially misstated.
 - iv. To obtain agreement from the management that will provide access to all information and explanation that is relevant for the purposes of audit to enable him to complete the audit within the agreed time.
 - v. Obtain an agreement from the management that they will give you unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

Agreement on Audit Engagement Terms (Audit Engagement- ISA 210)

- Once an auditor is nominated he has a choice of either accepting the appointment or rejecting the appointment.

Initial procedures for a new engagement

- The procedures can be divided into two:
 - i) **Factors to consider/Procedures to perform before accepting appointment**
 - ii) **Factors to consider/Procedures to perform after accepting appointment**

Factors to consider/Procedures to perform before accepting appointment (MAY 2017 Q 2B, DEC 2013 Q2A)

- The appointed auditor shall consider the following matters before accepting the audit appointment:
 - i). Ensure you are not disqualified under any legal grounds.
 - ii). Consider whether the audit firm has sufficient resources to serve the needs of the client.
 - iii). Consider whether the audit firm has the necessary staff with appropriate competence to complete the audit.
 - iv). Consider the staff availability for work.
 - v). Ensure there is no conflict of interest and all ethical requirements will be met.
 - vi). Consider the integrity of the principal owners, the key management and those charged with governance.
 - vii). Consider the level of risk involved in the audit.
 - viii). Indicate the provisional audit fee.
 - ix). Consider why the previous auditors was removed.
 - x). Seek permission from the client to communicate with the predecessor auditor. if the permission is not granted, reject the appointment.
 - xi). If the permission is granted, request the predecessor audit in writings all the information ought to be made known to you.
 - xii). The predecessor auditor should first seek permission from the client to communicate with you freely about the client affairs. If he is denied permission, reject the appointment.

Reasons why it's inappropriate to commence the audit before concluding on the matters above.

1. it is impractical to start with a few or incompetent audit staff as this will affect the efficiency of the audit causing disagreement with the client and compromising on the quality of the audit.
2. Ethical matters are significant to avoid threats to independence.
3. Ethical issues such as conflict of interest are importance to avoid reprimand by professional bodies
4. The procedures are useful to help the auditor avoid negligence claims.
5. Indicating the professional fee is inevitable in order to avoid any misunderstanding after the audit has started.
6. Its improper to accept appointment without first ensuring that incumbent auditor are no longer in place.

Importance of communicating with the predecessor auditor

1. To evaluate the integrity of the management
2. To obtain working papers which will assist the auditor in planning
3. To obtain background knowledge about the client
4. To obtain audit evidence about the conditions of the client's systems.
5. To know why the previous auditor was removed.
6. It's a professional requirement.
7. As a matter of professional courtesy

Specific queries by the successor auditor from the predecessor auditor.

(MAY 2014 Q2C)

1. Information that may be on the integrity of management.
2. Disagreement with the management regarding accounting policies, accounting standards and other significant matters.
3. Communication to those charged with governance regarding significant deviations and material weakness of internal control systems.
4. The predecessor auditor understanding to the reasons for the change of auditors.

Factors to consider/Procedures to perform after accepting appointment

1. Ensure that your appointment is valid by reviewing a copy of shareholder's resolution.
2. Ensure removal of the predecessor auditor is valid by reviewing the shareholder's resolutions.
3. Ensure the pre-conditions of the auditor are present. The preconditions of an audit include:

- i). Determine whether the financial reporting framework to be applied in the preparation of the financial statements is acceptable.
 - ii). Obtain the agreement from management that it acknowledges and understands its responsibility to prepare financial statements in accordance with the identified financial reporting framework.
 - iii). Obtain an acknowledgement from the management that it's their responsibility to put internal control's systems that are relevant to ensure that financial statements are not materially misstated.
 - iv). To obtain agreement from the management that will provide access to all information and explanation that is relevant for the purposes of audit to enable him to complete the audit within the agreed time.
 - v). obtain an agreement from the management that they will give you unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence
4. Draft and sign the engagement letter and request the client to sign it as well

The Letter of Engagement (DEC 2014 Q4A)

- Upon acceptance of the appointment as auditor, the auditor shall prepare and submit to the management or those charged with governance, a letter of engagement in which sets out the contractual relationship between the auditor and client.

Purposes of engagement letter

1. To formally confirm auditor's acceptance to the engagement
2. Its sets out the contractual relationship between the auditor and the client.
3. It acts as a confirmation of verbal discussions.
4. It acts to commit both parties to their responsibilities
5. It sets out the basis of charging the audit fee
6. To avoid misunderstandings between the auditor and the client.
7. It defines clearly the responsibilities of the auditor and those of management thus minimizing any misunderstanding between client and the auditor. The letter also serves as a formal confirmation of the auditor's acceptance of the appointment.

Contents of a letter of engagement

- ii) The objective and scope of the audit of the financial statements including applicable laws and legislations, ISAs & ethical requirements.

- iii) The form of any other communication of results of the audit engagement.
- iv) An expectation that the management will provide a management letter.
- v) An expectation that the management will provide a letter of representation.
- vi) Arrangement concerning planning and performance of audit
- vii) Arrangement concerning the use of internal auditors and other staff of the entity.
- viii) The fact that because of the inherent limitations of an audit, together with the inherent limitations of internal control, there is an unavoidable risk that some material misstatements may not be detected, even though the audit is properly planned and performed in accordance ISAs.
- ix) The expectation that management will provide access to all information of which management is aware that is relevant to the preparation of the financial statements, including an expectation that management will provide information relevant to the disclosures.
- x) The agreement of management to make available to the auditor draft financial statements, of which management may become aware during the period from the auditor's report to the date the financial statements are issued.
- xi) A reference to, and description of, the auditor's responsibilities under law, regulation or relevant ethical requirements that address reporting identified or suspected non-compliance with laws and regulations to an appropriate authority outside the entity
- xii) Any restriction of the auditor's liability when such possibility exists
- xiii) A reference to any further agreements between the auditor and the entity
- xiv) Any obligations to provide audit working papers to other parties
- xv) A request for the management to acknowledge receipt of the audit letter of engagement and to agree to the terms of the engagement outlined therein by way of signing.

Provisions of ISA 210 regarding the engagement letter

- The auditor should agree with the client on the terms of engagement at commencement of the audit.
- The auditor should document the terms in the engagement letter which should be signed by the auditor and the client.
 - On recurring audits, the auditor shall assess whether the circumstances require the terms of the audit engagement to be revised and whether there is a need to remind the entity of the existing terms of the audit engagement or to remind the entity of existing terms:

- The auditor may decide not to send a new audit engagement letter or other written agreement each period. However, the following factors may make it appropriate to revise the terms of the audit engagement; **(MAY 2014 Q4B)**
- i). Any revised or special terms of the audit engagement.
 - ii). Any indication that the entity misunderstood the objective and scope of the audit.
 - iii). A recent change of senior management.
 - iv). A significant change in ownership.
 - v). A significant change in the nature or size of the entity's business.
 - vi). A change in legal or regulatory requirements.
 - vii). A change in the financial reporting framework adopted in the preparation of the financial statements.
 - viii). A change in other reporting requirements.

Background knowledge about the client and industry

- Prior to accepting an engagement, the auditor should obtain preliminary knowledge about the entity, management, ownership of the entity and its operations.

Nature of the background knowledge

Areas to check when performing a background check (DEC 2014 Q2A, MAY 2019 Q2B))

1. General economic factors which include;

Economic activity, interest rates, availability of financing, foreign exchange rates, taxation levels, tariffs and trade restrictions, financial incentives etc.

2. Industry important conditions affecting the client's business

Which include; market competition, business risk, changes in product technology, adverse conditions such as declining demand, key industry ratio, seasonal activities etc.

3. Ownership & management of the entity – which includes beneficial owners & related parties, capital structure, management philosophy & strategic plan, sources and methods of financing, composition of the board and its reputation, frequency of the board meetings, operating management's, management experience and reputation, internal audit function etc.

4. The entity business. Which includes products, the markets, key suppliers, information system, research & development debt structure including covenants & restrictions.

5. The legal and regulatory environment which include laws and legislations that significantly affect the entity.

6. Financial performance i.e. factors affecting the financial condition of the entity.

E.g. profitability, key ratios of the firm and operating statistics

Sources of background knowledge

1. Previous experience with the entity and the industry
2. Discussion with the people in the entity such as directors and other senior operating personnel
3. Discuss with the internal audit personnel and review of internal audit reports.
4. Discussion with other auditors, legal and other advisors who may have provide services to the entity.
5. Reading publications related to the industry.
6. Legislations & regulations that significantly affect the entity.
7. Discussion with knowledgeable people outside the entity such as economists, industry regulators, customers etc.
8. A physical visit to the entity's premises and plant facilities.
9. Previous years audit files.

Uses of background knowledge to the auditor

1. Assessing risks and identifying problems.
2. Planning and performing the audit efficiently and effectively.
3. Evaluating audit evidence
4. To provide a better service to the client
5. To develop the overall audit plan and audit strategies
6. To identify related parties and related transactions.
7. To recognizing conflict of information.
8. In considering the appropriateness of the accounting policies used.
9. In accessing the reasonableness of the accounting estimates
10. To determine materiality levels.
11. To consider the adequacy of financial statements disclosures.

TOPIC : AUDIT PLANNING – ISA 300

- Planning an audit involves establishing an overall audit strategy and developing an audit plan.
- The engagement partner and other key members of the engagement team shall be involved in planning the audit, including planning and participating in the discussion among engagement team members so as to draw on their experience and insight and thus enhance the effectiveness and efficiency of the planning process.
- Adequate planning benefits the audit of financial statements in several ways, including the following:
 - i) Helping the auditor to devote appropriate attention to important areas of the audit.
 - ii) Helping the auditor identify and resolve potential problems on a timely basis.
 - iii) Helping the auditor to properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
 - iv) Assisting in the selection of the engagement team members with appropriate levels of capability and competence to respond to anticipated risks, and proper assignment of work to them.
 - v) Facilitating the direction and supervision of engagement team members and the review of their work.
 - vi) Assisting, where applicable, in coordination of work done by auditors of components or experts.
- The objective of an auditor in planning an audit is to ensure that it is conducted in an effective manner.
- The process of establishing the overall audit strategy assists the auditor to determine, subject to the auditor's completion of risk assessment procedures, such matters as:
 - The resources to deploy for specific audit areas such as the use of appropriately experienced team members for high risk areas or the involvement of experts in complex matters
 - The amount of resources to allocate to specific audit areas such as the number of team members assigned to observe the inventory count at material locations, the extent of review of other auditor's work in the case of group audits, or the audit budget in hours to allocate to high risk areas.

- When these resources are to be deployed such as at an interim audit stage or at key cut off dates.
- How such resources are managed, directed and supervised such as when team briefing and debriefing meetings are expected to be held, how engagement partner and manager reviews are expected to take place (for example off-site or on-site) and whether to complete engagement quality control reviews.

Stages in audit planning

1. Obtaining knowledge about the client and industry.
2. Obtaining an understanding of the client accounting and internal control systems.
3. Performing preliminary risk assessment.
4. Setting materiality levels.
5. Analytical review procedures
6. Developing the overall audit plan and audit strategy.
7. Preparing the time and costs budgets and job timetables.

2. Obtaining an understanding of the client accounting & internal control system The accounting system

- It refers to all the accounting procedures that identify and process financial transactions, the accounting records and supporting documents and financial reporting processing.
- It involves;
 - a. Identify major classes of transactions
 - b. Understand how transactions are identified and processed.
 - c. Understand the format of the accounting records and documents.
 - d. Understanding the client financial reporting process.

The Internal control system

- This refers to the whole system of controls of finance or otherwise put in place by the management to ensure that:
 - i). Business is conducted in an orderly and efficient manner
 - ii). The assets of the organization are safeguarded.
 - iii). There is adherence to the management policies.
 - iv). To secure as far as possible completeness, accuracy and timely provision of financial information.

- At planning stage, the auditor should seek understanding of the client systems and evaluate them in order to determine extent of reliance that he can place on the systems
- If the systems are strong the auditor will place reliance on them and will limit the amount of substantive testing.
- If the systems are weak, the auditor cannot place reliance and will have to carry out extensive substantive testing.

3. Preliminary risk assessment

- **Audit risk** is the risk that the auditor will give inappropriate opinion when the financial statements are materially misstated.
- The auditor carries out risk assessment at planning stage to identify the areas in which the financial statements are most likely to be misstated.
- This will enable the auditor to design audit procedures that are responsive to the risk factors of the audit and devote more audit attention to the areas where the risk is high.

Audit risk assessment

a) Inherent risk assessment

- This is the susceptibility/likelihood of an account balance either individually or when aggregated with others to material misstatements assuming there is no related controls.
- In assessing the inherent risk, the auditors consider factors at two levels:
 - i). Factors at transactional level (individual account balance)
 - ii). Factors at financial statement as a whole. (entity level)

Factors at transactional level (individual account balance)

1. Complex accounts such as those that require high degree of estimation, expert valuation, prior year adjustments etc.
2. Nature of the item. Eg cash and stocks are highly susceptible to loss and misappropriation in absence of the controls.
3. Related party transactions and balances.
4. Unusual transactions such as those that are not subject to ordinary processing.
5. The quality of the specific accounting systems processing specific balances.

Factors at financial statement as a whole. (entity level) (NOV 2017 Q4)

1. The management integrity.
2. the management knowledge and experience.
3. Recent changes in management.
4. Unusual pressure on the management and staff.
5. Significant related party transactions and balances.
6. The nature of the business.
7. Factors affecting the industry.

b) Control risk assessment

- Control risk is a risk that material misstatements will occur in the accounts and entity's internal control systems will not detect, prevent and correct the misstatement on a daily basis.

Control risk assessment

Factors to consider in assessing the control risk

- i). The control environment that is the overall attitude of the managements towards the controls.
- ii). Quality of the staff
- iii). Segregation of duties
- iv). The presence and effectiveness of internal audit function.
- v). Authorization procedures
- vi). Quality of specific internal control systems.

c) Detection risk assessment

Factors to consider;

- i). The nature of the engagement i.e. a first time audit has a higher detection risk than a recurring audit.
- ii). Pressure on the auditor to complete the audit work
- iii). Complexity of specific balance or transaction
- iv). Inherent limitations of audit.

4. Setting materiality levels

- Materiality relates to significance or relative importance of the item.
- A matter is said to be material if its omission or miss-statement can affect the decision of the users
- The auditor considers materiality at 3 levels of the audit;
 - a) Planning stage
 - b) During the audit
 - c) At the audit conclusion

Materiality at the planning stage

- In laying out the audit plan the auditor establishes an acceptable level of significance in order to detect erroneous presentation that are significant from a quantitative point of view.
- Materiality is to be considered at the planning stage to;
 - Identify and assess the risk of material misstatement.
 - Determine the nature, timing and extent of risk assessment procedures.
 - Determine acceptable level of materiality.

Materiality during the audit

- If ARPs indicate that misstatement may exist and are likely to be material, the auditor has to carry out further audit procedures.
- In audit sampling, to test transactions or a/c balances, the amount of misstatement identified in the sample is projected to the whole population if it is material.
- The auditor has to consider whether the projected error is material or immaterial.
- If the error is material, then the auditor may have to expand the sample.
- During the audit the auditor considers materiality to determine the significance of account balances or transactions.

Materiality during the audit conclusion

- To evaluate whether the financial statement taken as a whole are free from material misstatements.
- To determine whether the uncorrected errors which were individually immaterial are material when aggregated and collected errors are material, then the auditor will qualify the audit report.
- The auditor also considers qualitative materiality e.g. legal and regulatory requirements
- If the aggregated uncorrected errors are material, then auditor will qualify audit report if the management fails to correct the errors.
- To determine what to report to the management and those charged with governance.

Criteria for Judging Materiality

a) Value criteria

- This involves judging materiality on the basis of amount or quantity of the item.
- In this case, the item is expressed as a percentage of the major element of the financial statements and materiality cut-off points are established.

Item expressed as Percentage of:	Materiality Cut-off point
Profit before tax	>5%
Profit after tax	0.5 – 1%
Gross profit	0.5 – 1%
Turnover	0.5 -1%
Total assets	1 – 2%
Net assets	2 -5%

b) Impact criteria

- If an item has the potential of converting a profit into a loss or a loss into profit, then it is considered as material regardless of the amount involved.

c) Nature criteria

- Some items are considered to be material by virtue of their characteristics regardless of the amount involved.

d) Comparing the magnitude of the item with overall view given by the accounts.

e) Considering the cumulative effect of a misstatement.

f) Considering whether there are any statutory considerations

Distinction between planning and performance materiality

Planning materiality is materiality for the financial statements as whole.

Performance materiality is the amount(s) set by the auditor at less than the materiality for the financial statements as a whole to reduce the error that the aggregate and the corrected misstatement exceed materiality for the financial statement as a whole.

5. Analytical review procedures

- It involves the computations of significant accounting ratios, trend cross-sectional analysis, reasonableness checks and comparison of financial and non-financial information.
- ARP's are done at the planning stage;
 - To identify potentially problematic areas.
 - To assess risk.
 - To determine the amount of time that will be required in the audit.
 - To determine the staffing requirements in terms of numbers and the levels of skills.
 - To determine the nature, extent and timing of further risk assessment procedures.
 - To determine the nature, extent and timing of audit procedures.

6. Developing the overall audit plan and strategy

- **An audit strategy** sets out the scope, timing and direction of the audit and guides the development of the audit plan.
- Audit plan is more detailed than audit strategy. It includes the nature, timing and extent of audit procedures to be performed.

Matters the auditor may consider in establishing the overall audit strategy

- Characteristics of the engagement.
- Significant factors.
- The determination of materiality.
- Preliminary risk assessment.
- The impact of the assessed risk.
- The reporting objectives.
- Volume of transactions.

AUDIT DOCUMENTATION & WORKING PAPERS (ISA 230)

- Audit documentation is the record of all audit procedures performed, relevant audit evidence obtained and the conclusions reached by the auditor in working papers.
- Working papers are all the materials prepared, collected and retained by the auditor in connection with the audit.

Examples of working papers

1. Audit programs
2. Analysis
3. Issues memorandum
4. Correspondences
5. Checklists
6. Letter of representation, letter of internal weakness.

Qualities of good working papers

- They should be as comprehensive as possible.
- They must contain accurate information so that they will be relied upon.
- They should contain the facts.
- They should be properly indexed and organized
- They should be prepared neatly and tidily.
- Any personal judgement must clearly explained
- Any symbols used must be clearly explained.
- They should be properly bound.
- They should be well secured under key and lock.
- They should be kept for sufficient period

Importance of Documentation

- It provides evidence that the audit was planned and carried out in accordance with ISAs.
- It provides a basis of the auditor's conclusion.
- They provide direction and supervision to audit staff.
- They facilitate quality control reviews.
- They facilitate control of the current year's work.
- They can be used for training.
- They provide up to date findings.

Organizing Working Papers

Working papers are normally put in audit files which are classified into 2:

1. Permanent audit file
2. Current audit file

Permanent Audit File

This file is used for putting working papers that contains information which is recurring in nature that is their relevance may go beyond the current year's audit.

Contents

- i). Copies of the client's statutory documents such as A.O.A 'M.O.A, certificate of incorporation, register of shareholders
- ii). Relevant legislations and other statutory material's such as copies of the company cart NSE regulations.

- iii). Copies of documents of continuing relevance to the auditor such as the engagement letter
- iv). List of lawyers, bankers, stock brokers, insurance brokers and advisors.
- v). The physical address and postal address of the company
- vi). A description of the entities business and its operation

Current Audit File

This file is used for putting the working papers that are of short term importance to the auditor.

Contents

- A copy of current year's financial statement duly signed.
- Audit plan and programmes.
- Internal questionnaire.
- A copy of management letter.
- Letter of representation.
- Significant matters and significant professional judgement e.g.
 - Matters that give rise to significant risks.
 - Results of audit procedures.
 - Difficulties in applying the necessary audit procedures.
 - Rationale of the auditor's conclusion etc.

Factors that affect the form, content and extent of audit documentation

- i) Nature of audit engagement.
- ii) Size and complexity of the entity.
- iii) Identified risks.
- iv) Nature of audit procedures performed.
- v) Audit methodology used.
- vi) Significance of audit evidence obtained.
- vii) Nature and condition of the client's ICS and accounting system.

Limitation of gathering working papers

- i). Lack of cooperation from the client staff and management
- ii). Technicality of the client business.
- iii). Incomplete records
- iv). Weaknesses in the internal control systems
- v). Its time consuming
- vi). Lack of cooperation from third parties.

Classification of working papers

1. Standardized vs Unstandardized
2. Manual vs Automated

Standardized audit files

This is an approach of using a standard audit manual.

Automated audit files

These are electronic files.

They are computer programmes developed by the audit firm to make documentation much earlier.

Benefits of automation

1. They free up storage space.
2. Review of information in the computer is easier than physical sheets.
3. They encourage uniformity.
4. Information is safer.
5. Greater possibility of sharing.
6. Facilities quick risk assessment.
7. Enhance confidentiality.

Challenges of automation

1. Require computer literacy.
2. High risk of unauthorized data alteration.
3. Risk of data destruction by virus.
4. Require a lot of computer time.
5. Software may be expensive

Custody and ownership of the working papers

General principles

- i) Documents belonging to the client must be given to the client promptly on request unless the auditor is able to exercise right of lien.
- ii) For documents belonging to the auditor, the decision on whether to allow the client to inspect them rest with the auditor.
- iii) Where the client asks the auditor to disclose documents to a 3rd party and those documents belong to the client, the auditor must disclose the documents unless he is exercising the right of lien.
- iv) Where the documents belong to the auditor, the auditor is not obliged to comply with the request.

- Initially the working papers were thought to belong to the client. however, a 19938 U.K case set a contrary principle

Facts of the case:

The client was claiming custody of the working papers under the following grounds.

1. The working papers were collected from the client company.
2. The client had paid the auditor for the service.
3. The working papers contain secrets of the client
4. The auditor is an agent of the client and hence working papers belong to the principal

The auditor on the hands was also claiming custody of working papers under the following grounds:

1. The auditor is not an agent of the client but an independent contractor.
2. The auditor has a right of lien on the working papers.
3. Majority of the working papers were the auditors own recordings.
4. The auditor has a professional obligation to show the successor auditor the working papers.
5. The working papers are the only auditors defense in case of liability claims

- **The house of lords ruled in favor of the auditor as the bonafide owner of the working papers on the grounds that the auditor is not an agent of the client but an independent contractor.**

AUDIT QUALITY CONTROL (ISA 220 AND ISQC 1)

- Quality control refers to the procedures adopted by a firm to provide reasonable assurance that all audits done by a firm are being carried out in accordance with ISQC 1 i.e. “Quality control for a firm that performs audits and reviews of historical financial information and other assurance related services engagements and ISA 220 “Quality controls for audits of historical financial information.
- When an auditor accepts appointment, he exposes himself to a number of risks.
 - The risk of giving inappropriate opinion.
 - The risk of damages.
 - The risk of losing the client and future prospective clients.
 - The risk of adverse publicity.
 - Withdrawals of the practicing certificate.
- In order to mitigate against the above the risks ISA 220 requires the audit firm to implement the quality control procedures at two levels:
 - At the audit firm level
 - At the individual audit the engagement level.
- Audit firm level procedures are designed to provide reasonable assurance that the firm and its personnel comply with professional standards and regulatory and legal requirements. Also that audit reports issued by the firm or engagement partners are appropriate in circumstances.
- Individual audit quality control procedures are designed to provide standards and guidance on specific responsibilities of employees regarding quality control procedures on individual audits

Importance of high quality audit work

- i). To achieve audit objectives
- ii). To operate effectively, efficiently and economically
- iii). To avoid disputes with clients and minimize risk of litigation
- iv). To provide high quality professional service to clients.
- v). To ensure regulatory visits proceed smoothly.
- vi). To ensure staff are monitored and controlled.
- vii). To help identify training needs at all levels.
- viii). To ensure staff appraisal systems operate effectively at all levels.
- ix). To provide assurance of the audit process to stakeholders.

QUALITY CONTROL PROCEDURES AT THE INDIVIDUAL ENGAGEMENT LEVEL

1. Clients acceptance procedures.
2. The engagement team
3. Direction
4. Supervision
5. Consultation
6. Documentation
7. Monitoring
8. Review

1. Clients acceptance procedures

- The engagement partner should conclude on whether all engagement procedures have been considered and finalized. This includes;
 - Potential threat to independence has been considered.
 - The management integrity has been considered.
 - The auditor has ensured there is no conflict of interest.
 - The auditor firm has considered availability of resources to complete the audit.
 - Clearance has been obtained from the predecessor auditor.
 - Ethical requirements' have been complied with.

2. The engagement team

- The engagement partner should ensure that the engagement team collectively has the skills, competence and time to do the audit.
- The engagement partner should assess the engagement team for the following:
 - Experience in similar audit assignments.
 - Understanding of the professional technical standards and legal requirements.
 - Ability to make professional judgement.
 - Knowledge of the industry.
 - Understanding of the audit firm's quality control procedures.
 - Technical knowledge and expertise

3. Direction

- The engagement team should be directly by the engagement partner and the audio senior.
- An engagement planning meeting should take place in which the members of the team informed of the following:
 - Their responsibility including the need to comply with ethical requirements.

- The objectives of the audit of financial statements
- Risk related issues
- The general audit methodology to be used.

4. **Supervision**

- supervision should be continuous during the audit.
- The senior members of the team should supervise the work of the junior members.
 - To check whether they are following the audit programs.
 - To track the progress of the audit.
 - To identify matters for further consultation.
 - To address significant matters arising during the audit.

5. **Consultation**

- The engagement partners should arrange of consultation on difficult and contentious issues.
- Some of the areas where consultation is required include:
 - In application of a newly pronounced standard.
 - When auditing organizations with complex reporting requirements.
 - When there is disagreement with the management on accounting policy.
 - When a modified opinion is to be issued.

6. **Documentation**

- All important aspects of the audit must be adequately documented.
- The audit procedures carried, findings and the conclusions drawn must be documented.

7. **Monitoring**

- This involves making follow up to check whether quality control procedures are relevant and functioning effectively.

8. **Review**

- Audit quality control review refer to a process designed to provide an objective on or before the date of the report, of the significant judgements the engagement team made and the conclusions reached in formulating the report.

Types of quality control review.

a) Hot review

- b) post – audit review
- c) second-partner review
- d) peer review.

a) Hot review

- This is regular review that takes as the audit is progressing where the working papers produced by the junior members of the audit team are checked by more senior members of the team e.g. audit manager.

Purposes of the regular review

1. To check whether the work has been performed in- accordance with ISAs Audit plan and Audit programs.
2. To check whether the staff are understanding the instructions.
3. To check whether the conclusions expressed are consistent with findings.
4. To ensure that significant matters have been raised for consideration.
5. To check whether the staff are competent enough to continue with audit.
6. To check whether there is need to change the audit approach.

b) Post – audit review

- This is also known as final review or overall review of the audit.
- This is the review that takes place after the audit has been completed but before the audit report is written and signed.
- It is done by the engagement partner who has the ultimate responsibility for committing the audit firm when signing the audit report.
- The engagement partner does the review in liaison with the audit manager

c) Second partner review

- This is where an independent partner from the audit firm who did not take part called upon to come and review the working papers and form an independent conclusion to see if his conclusions concur with the conclusions of the responsible partner.

d) Peer review

- This is an independent review of the audit firms and accounting practices.
- It is classified into two as follows:
 - a) Internal peer review
 - b) External peer review

a) Internal peer review

- It involves the audit team engaging a group of independent partners from the audit firm, who did not take part in the audit to ascertain that the quality control procedures were followed.
- The matters considered by the by the independent partners include:
 - Significant risks identified during the audit and the auditor's responses.
 - Whether documentation reflects the work performed.
 - Judgements with respect to materiality and risk.
 - Evaluation of the audit firm's independence towards the audit.
 - Appropriateness of the proposed audit report.

TOPIC : INTERNAL CONTROL SYSTEMS

Refers to the whole system of controls, financial or otherwise put in place by the management to ensure that:

- a) Business is conducted in an orderly and efficient manner.
- b) The assets of the organization are safe guarded.
- c) There is adherence to the management policies.
- d) To secure as far as possible completeness and accuracy of financial information.

Elements of an ICS

1. Control environment.
2. Control activities.
3. Risk assessment and management.
4. Information systems and communication.
5. Monitoring.

Control environment

This refers to the overall attitude, awareness and actions from the management regarding the ICS and its importance in the entity.

Factors reflected in the control environment

- i) Organization's structure.
- ii) Functions of the board.
- iii) Assignment of authority.
- iv) Management's philosophy.
- v) Commitment to competence.
- vi) HR policies and practices.
- vii) Presence/absence of internal audit function.

Control activities

This refers to all policies and procedures in addition to the control environment which the management has established to ensure that nothing goes wrong e.g.

- Authorization procedures
- Segregation of duties
- Reconciliations

Risk assessment and Management

This is the process of identifying situations and events that may prevent the organisation from achieving its goals and coming up with mitigating measures to address the risk.

Information systems and Communication

Consists of infrastructures, software, people, data and process that convert raw data into meaningful information.

A good information system will ensure that:

- Only valid transactions are processed.
- Transactions are processed and recorded at their proper amounts.
- Cut off is applied correctly.

Monitoring

This is the process of assessing the quality of the ICS over time to determine its effectiveness and taking corrective action.

Characteristics of a good ICS

- Organizational structure
- Segregation of duties
- Authorization and approval
- Control over documents
- Supervision
- Arithmetic and accounting controls
- Personnel controls.
- Acknowledgement of performance.
- Limiting physical access to records and assets.

Importance of ICS

- Helps management to achieve organization goals.
- Ensures business is conducted in an orderly and efficient manner.
- Frauds and errors are prevented and detected.
- Assets of the organization are safeguarded.
- Enhances specialization due to division of work.
- Enhances cooperation and reduces conflict.

Inherent Limitations of an ICS

- Possibility of collusion
- Human failure
- Possibility of management overriding controls.
- Technological advancement may render controls obsolete.
- Systems breakdown due to errors and mistakes.
- Physical/environmental factors.
- Excess supervision may demoralize the staff.

Importance of ICS over the accounting systems

- To ensure that transactions are executed in accordance with proper authority.
- To ensure that only valid transactions are recorded.
- To ensure all transactions are promptly recorded at their correct amounts, in the correct accounts and in the correct accounting period.
- To ensure that the recorded assets are compared with the existing assets at reasonable intervals.
- To ensure that errors and frauds are prevented, detected and corrected on a timely basis.

Responsibilities over the internal control systems

a) Responsibilities of company's management

- To design an appropriate system of internal controls.
- To implement the ICS.
- To prevent and detect fraud and errors.

- To safeguard the company's assets.
- Preparing and presenting financial statements reflecting a true and fair view.

b) Responsibilities of the external auditor

- To obtain an understanding of the client's ICS.
- To record the system.
- To evaluate the system.
- To record and identify weakness in the system.
- To provide recommendations for improvement.
- Carry out risk assessment.
- To report to the shareholder and those charged with governance where weakness persist.

Importance of a strong ICS to the Auditor

- i) It reduces the amount of evidence to be gathered to form an opinion.
- ii) It reduces the sample size to be tested in a given population.
- iii) It reduces the tests to be conducted.
- iv) It reduces the amount of time the auditor will spend on the audit.
- v) It minimizes auditor's liability since the audit risk is reduced.
- vi) It leads to an unqualified report.

Internal control systems in practice

In designing an ICS, the following questions should be considered:

1. What could go wrong?
2. What is the impact?
3. What preventive, detective and corrective measures can be put in place?

Most organizations put controls in the following areas

1. Payroll
2. Purchases and creditors
3. Sales and debtors
4. Stock and W.I.P
5. Fixed assets
6. Cash and cheque received by post
7. Cash at hand, bank etc.

ICS over the payroll risks associated

- Unauthorised payment of dummy workers.
- Manipulation of the rate of pay.
- Payment for work not done.
- Incorrect computation of the gross and net pay.
- Delay in paying the salaries.
- Payment of leavers.

Control objectives

- To ensure that employees are only paid for work done.
- To ensure that the gross pay and net pay is calculated correctly and it is authorised.

- To ensure that deductions are calculated correctly and are authorised.

Control procedures

- i) **Control over time recording**
 - Employees should clock in and out.
 - The supervisor should sign the time cards.
 - Any overtime must be authorised.
- ii) **Controls over preparation of the payroll**
 - The person preparing the payroll should have no other responsibility relating to staffing.
 - The payroll should be prepared by the payroll section, checked by the accountant and authorised by the finance director.
 - The rates of pay should be authorised.
 - Any alteration in the rates of pay must be authorised.
- iii) **Controls over payment of wages in cash**
 - Security arrangements should be made for cash in transit.
 - Pay packets should be collected by the supervisor in presence of a witness.
 - Employees should sign the payroll as they collect the pay.
- iv) **Control over unclaimed wages**
 - Unclaimed wages should be recorded in the unclaimed wage book.
 - Unclaimed wages should be returned back to the accountant.
 - Unclaimed wages should be banked if not collected in time.
 - Unclaimed wages should be investigated to establish the reason for non-collection.
- v) **Controls over personnel records, recruitment and other controls**
 - There should be formal procedures for hiring.
 - All hiring of staff must be authorised by a responsible officer.
 - Personnel files should be maintained for each employee.
 - There should be regular head count of employees by an independent person.

Test of controls

These are also known as compliance testing.

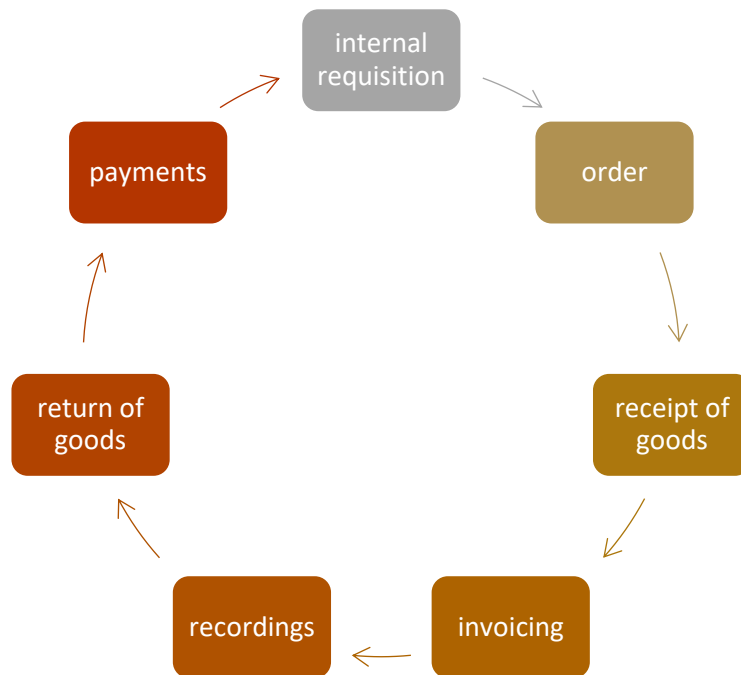
Test of control over wage system

- Select a sample of time cards and test check the calculations.
- Agree time card to the payroll.
- Check time card for authorisation.
- Select a sample from the payroll and test check the calculations with respect to tax and other deductions.
- Check whether the deductions are remitted on time.
- Trace the sample from the payroll to personnel records.

Controls to prevent insertion of dummy names in payroll

- All hiring of employees must be authorised by a designated senior officer.
- Formal procedures of hiring should exist.
- All employees should be allocated personal file numbers.
- Those who prepare the payroll shouldn't have other responsibilities associated with staffing.

Control over purchases and creditors



Control objectives

- To ensure that goods are ordered under proper authority.
- To ensure that expenditure on purchases is reasonable.
- To ensure that goods are ordered from suitable suppliers.
- To ensure that the stock levels held are reasonable.

Controls over ordering

- i) All orders should be made on official documents.
- ii) LPO should be kept under key and lock and pre numbered.
- iii) All orders should be made by a responsible person whose authority is specified.
- iv) A register of the orders dispatched should be maintained.
- v) A list of prequalified suppliers should exist.
- vi) All orders should be made from the authorised suppliers.
- vii) A re-order level quantity should be pre-set.

Controls over receipt of goods

- i) A goods inwards section should be identified.
- ii) When goods are received they should be physically inspected.
- iii) A GRN should be raised after inspection.
- iv) The GRN should be checked against the LPO.
- v) A register of the GRN should be maintained.

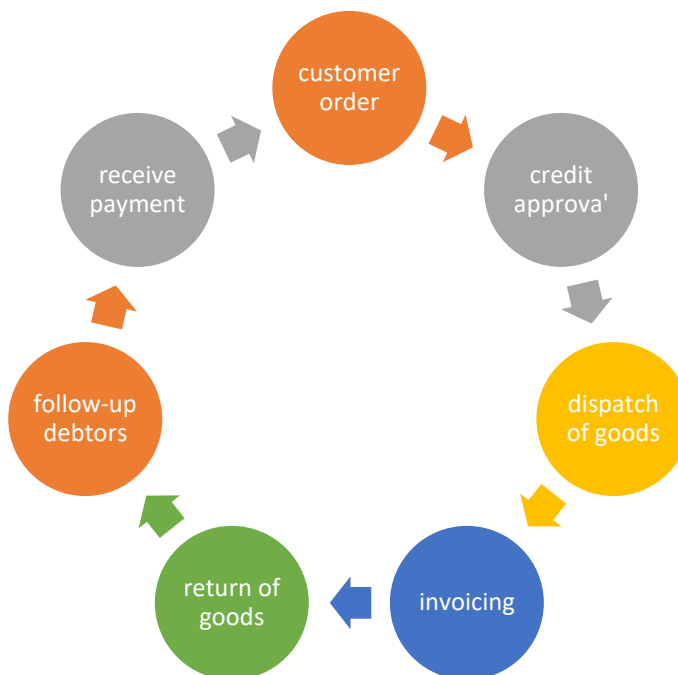
Controls over invoicing and returns

- i) Purchase invoices should be matched against the GRN and the LPO.
- ii) Purchase invoices should be allocated numbers.
- iii) A register of the invoices should be maintained.
- iv) All purchase invoices should be authorised by a responsible officer whose authority limit specified.

Controls over purchases ledger and the suppliers

- i) Batch control totals should be used over recording of the invoices.
- ii) Creditors control account should be prepared on a regular basis.
- iii) Input VAT should be subtracted when recording.
- iv) Unused cheques should be kept under key and lock.
- v) A register of cheques dispatched should be maintained.
- vi) The cheque should have at least 2 signatories.

Controls over sales and debtors



Control objectives

- To ensure customer orders are promptly executed.
- To ensure all credit sales are properly authorised.
- To ensure all sales invoices are recorded.
- To ensure all sales invoices are recorded.
- To ensure all dues from customers are received promptly.
- To ensure all bad debts written off are properly authorised.

Control over ordering and credit approval

- i) All customers' orders should be recorded in a register.
- ii) All customers' orders must be authorised.
- iii) Existing customers should be allocate credit limit.
- iv) All new customers should be referred to the credit control.

Controls over dispatch of goods

- i) Goods should be physically inspected by an independent person before leaving stores.
- ii) A GDN should be raised after inspection.
- iii) A GDN should be checked against the customer's order.
- iv) A delivery note should accompany the consignment.
- v) The dispatch notes should be pre numbered.

Controls over invoicing

- i) An authorised price list should exist.
- ii) The sales invoices should be pre numbered.
- iii) All invoices should be authorised by a responsible officer.
- iv) A register of sales invoices should be maintained.

Controls over return of goods

- i) All goods returned should be physically inspected for obvious damages.
- ii) A goods return note should be raised after inspection.
- iii) All credit notes should be authorised by a responsible officer.

Controls over debtors, bad debts and the sales ledger

- i) A debtor's control account should be prepared on a regular basis by an independent person.
- ii) Batch controls totals should be used over recording of the invoices and credit notes.
- iii) Formal procedures should exist following overdue debts.
- iv) Any bad debts written off must be properly authorised.
- v) Authority to write off bad debts should be rested with the finance director.

Control over stock and WIP control objectives

- To ensure that all stock movements in and out of the stores are properly authorised.
- To ensure stock levels held are reasonable.
- To ensure stock are valued appropriately.
- To ensure stock is safeguarded against loss/damage.

Control procedures

- i) Movements in and out of the stores must be authorised.
- ii) Access to the stores should be restricted.
- iii) A bin card system should be maintained.
- iv) A re-order level and quantity should be pre -set.
- v) Stocks of similar nature should be held in the same location.

Control over fixed assets control objectives

- To ensure acquisition and disposal of fixed assets are properly authorised.
- To ensure acquisition and disposal of fixed assets are at the most favourable prices.
- To ensure that fixed assets are properly maintained.
- To ensure that fixed assets are properly recorded, depreciated and written down.

Control procedures

- An annual capital expenditure budget should be prepared and submitted to the board for approval.
- Disposal of fixed assets must be authorised by the board.
- Appropriate insurance cover should be taken for all fixed assets.
- A procurement committee should be established to deal with procurement of fixed assets.
- A fixed asset register should be maintained.

Contents of a fixed asset register

1. Description of the asset.
2. Date of purchase.
3. Cost and the supplier.
4. Unique asset number.
5. Normal location of the asset.
6. Officer primarily responsible for the asset.
7. Depreciation policy and the estimated useful life.
8. The NBV at the respective year ends.
9. Wear and tear information.
10. Any charges or mortgages on the asset.

Control over cash at bank and cheque payments

1. The board should authorize the opening of all the company's bank accounts.
2. Company's cheques should be kept under lock and key.
3. The cheque should be signed by at least 2 signatories.
4. All cheques must be supported by authorised documentary records.
5. Blank cheques should never be signed.
6. Bank reconciliation should be performed by an independent person.

Importance of preparing bank reconciliation

1. It facilitates reconciliation of the cash book.
2. It prevents and detects frauds and errors associated with the cash at bank.
3. It facilitates identification of the errors made by the bank.
4. It provides evidence of correctness of the cash book balance when reconciled with an independent sourced bank statement.

Auditors procedures with regard to the client's ICS

1. Ascertaining the systems.
2. Recording the systems.
3. Evaluating the systems.

Ascertaining the systems

This involves the auditor obtaining an understanding of the client's system and how they operate.

Techniques of ascertaining the system

- Discussion with the client's management and staff.
- Reading the client's systems manual where it exists.
- Reference to the existing systems notes.
- Observation of the procedures.
- Use of descriptive questionnaire.
- Use of walk through tests.

Recording the system

This involves the auditors recording his understanding of the clients systems.

Techniques

- Narrative notes.
- Descriptive questionnaire
- Flow charts
- Organisational charts

i) Narrative notes

These are short notes describing the accounting and the ICS while at the same time making comments and criticism.

ii) Descriptive questionnaire

These are questions asked by the auditor to be answered by the client. They require short answers that briefly describe the control process.

iii) Flow charts

This is a diagrammatic representation of the company's procedures showing flow of the accounting function and documents.

Importance of flow chart to the auditor

- It simplifies the recording of the ICS.
- Involves little expenditure.
- It is a consistent system that is standard.
- The auditor will get a whole picture of the company's operations.
- It ensures the system is fully recorded.

Limitations of the flow chart

- Amendments are difficult without re drawing.
- Time may be wasted in charting areas that have no significance.
- The flow chart may contain symbols that aren't easily understood.
- They show the flow of documents. However, they do not show what happens to the asset afterwards.

Features of a good flow chart

- Should be properly headed.
- Should not be congested with lines.

- Symbols used must be clearly explained.
- There should be a separate flow chart for each area.
- The flow chart should follow the organizational chart.

iv) Organizational chart

This provides a convenient means of recording the system of authority by showing the duties and responsibilities of each person, how the authority flows and how it is delegated.

Evaluating the systems

This involves the auditor testing or assessing the systems to determine their effectiveness or otherwise, so as to determine the extent of reliance the auditor will place on the system.

Techniques of evaluating the systems

- Internal control questionnaire.
- Use of 3rd party confirmation.
- Use of compliance testing.
- Use of substantive testing.
- Observation.
- Analytical review procedures
- Depth test
- Walk through test.

i) Internal control questionnaires

This is a set of structured questions asked by the client's staff. The questions are short and they require short answers such as yes, no or not applicable.

The ICQ's are classified into:

- a) ICQ
- b) ICEQ

Internal control questionnaire

These questions focus on determining whether there are controls that meet specific control objectives.

Internal control evaluation questionnaire

These questions focus on determining whether there are controls that prevent and detect specific errors, omissions and frauds that could occur if there were no controls.

Importance of ICQ (purpose)

- Enable the auditor ascertain the system.
- Enable the auditor identify areas of weaknesses.
- Are quick and easy to prepare.
- Are easy to use and control.
- Ensures that all controls are considered.
- Provide direct evidence about the controls.

ii) Use of 3rd party confirmation

This involves comparing evidence from 3rd party sources with the information in the client's records.

iii) Compliance testing

iv) Use of substantive tests

These are tests of transactions and account balances to prove the validity, accuracy and completeness of the information in the client's accounting records.

v) Observation

This is observing deviations from policies, budgets etc.

vi) ARPs

It involves computations of ratios, trend analysis, cross sectional analysis and reasonableness checks.

vii) Depth and walk through test

Depth test involves tracing a transaction through its various stages of recording, analysing each of the stages to see if the controls are working throughout those stages. Walk through tests are limited depth tests.

Action taken by the auditor if the systems are weak

1. Bring the weakness to the attention of the management.
2. Document the weakness in the management letter.
3. Document the weakness in the working papers.
4. Change the audit approach from system based to vouching.
5. Increase sample size.
6. Change the timing of the audit and begin earlier.

THE MANAGEMENT LETTER

This is a letter written by the auditor to the company's management highlighting the weaknesses identified by the auditor in the system and provide recommendations for improvement and any other matters of concern that the auditor may wish to raise with the management.

Purpose of the management letter

1. To report to the management about the deficiencies identified in the system.
2. To provide advice to the management on how to improve the system.
3. To enable the auditor to communicate to the management matters that have an impact on the future.
4. To enable the management put matters right that would otherwise lead to audit qualification.
5. To formally document matters that have been discussed with the management.
6. To pin point out areas in which the management could be more efficient and effective.
7. In some audit engagements, the ML is a contractual requirement.

Contents of the management letter

1. Description of the client's ICS
2. A list and description of the weaknesses identified.
3. Risk arising from each weakness.
4. Unsuitable accounting policies and practices.
5. Non-compliance with the accounting standards and legislations.
6. Implications of the weakness on the financial statement.
7. Documentation of matters discussed with the management.

Internal controls in a computerised environment

Includes both manual procedures and procedures designed into computer programs.

Such control procedures comprise two types of controls: general controls and application controls.

General IT controls

Are policies and procedures that relate to many applications and support the effective functioning of application controls.

General controls include control over data centre and network operations; system software acquisition, change and maintenance etc.

Application controls

Are manual or automated procedures that typically operate at a business process level.

General controls

1. Development of computer application.
2. Prevention/detection of unauthorised change of program.
3. Testing and documenting program changes.
4. Controls to prevent wrong programs.
5. Controls to prevent unauthorised amendment of data files.
6. Controls to ensure continuity of operation.

Application controls

1. Controls over input
 - a) Accuracy
 - b) Completeness
 - c) Authorization
2. Control over processing.
3. Control over master files and standing data.

Testing of application controls

1. Manual controls – if manual controls exercised by the user of the application system are capable of providing reasonable assurance that the output is complete, accurate and authorised, the auditor may decide to limit tests of control.
2. Control over system output – the auditor may test the control by use of computers.
3. Programmed control procedures – the auditor may perform test of controls by using computers.

ISA 240 – ERRORS, FRAUDS AND OTHER IRREGULARITIES

Errors – an error is an innocent, unintentional misstatement.

Fraud – is a deliberate act by an individual or in collusion, which involves deception with an aim of gaining an undue or illegal financial advantage.

Irregularity – this is an activity or an event that is contrary to the company's policy.

Classification of frauds that may cause material misstatement

1. Fraudulent financial reporting.
2. Misappropriation of the company's assets.

1. Fraudulent financial reporting

- This involves:
 - Manipulation, falsification or alteration of accounting records.
 - Misrepresentation or omission of events in financial statement.
 - Intentional misapplication of accounting policies.
 - Recording transactions without substance.
- **Techniques used by management in over riding controls to engage in fraudulent financial report**
 - Recording fictitious journal entries.
 - Inappropriately adjusting assumptions.
 - Omitting, advancing or delaying recognition of events and transactions.
 - Concealing facts that could have a material impact on the financial statements.
 - Altering records and terms relating to significant unusual transactions.

2. **Misappropriation of the company's assets**

- Embezzlement of receipts
 - Stealing of physical assets
 - Using the entity's asset for personal use.
 - Collateral for a personal loan.
 - Kickbacks paid to suppliers in return for inflating prices.
 - Payment to ghost worker
- **Factors that have increased the risk of frauds and errors in an organization**
 - Domination by a single individual.
 - Complex organization structure.
 - Deficiency in the ICS.
 - Large amount of cash at hand.
 - Characteristics of inventory.
- **Indicators of frauds and errors in an organization**
 - Missing documents.
 - Unsupported/unauthorized transactions or balances.
 - Documents that appear to have been altered.
 - Unsatisfactory explanations.
 - Unexplained amount in suspense.
 - Last minute adjustment that significantly affect the financial statement.
 - Failures of figures to agree with expectations.

➤ **Responsibilities of management regarding prevention and detection of frauds and errors**

The management has the sole responsibility of preventing and detecting frauds and errors.

Ways in which the directors discharge their responsibility in preventing and detecting frauds and errors

- i) Complying with the principles of good corporate governance.
- ii) Designing and implementing effective systems of controls.

- iii) Continuously monitoring the effectiveness of the systems.
- iv) Establishing an internal audit function.
- v) Establishing an audit committee.
- vi) Establishing a compliance function.

➤ **Responsibilities of external auditor with regard to prevention and detection of frauds and errors**

1. The auditor can never be held responsible for prevention and detection of fraud and errors.
2. The auditor however should approach the audit with professional skepticism. Professional skepticism will include being alert to:
 - Evidence that is inconsistent with other evidence obtained.
 - Information that raises doubts about reliability of documents.
 - Circumstances that suggest the need for additional audit procedures.
 - Conditions that indicate likely misstatements.

Role of professional skepticism in prevention and detection of frauds and errors

- Maintaining professional skepticism enables the auditor to reduce the risk of:
- i) Overlooking unusual circumstances
 - ii) Overgeneralizing
 - iii) Using inappropriate assumptions.
 - iv) It causes the auditor to maintain alertness to contradictory evidence.
 - v) It causes the auditor to carry out a critical assessment of the validity of evidence obtained.

Examples application of professional skepticism

1. Risk assessment

- Questioning responses to enquiry.
- Revising risk assessment.
- Identifying specific financial statement line items that are susceptible to the risk of material misstatement.

2. Obtaining audit evidence and developing audit plan

- Incorporating unpredictability in the audit.
- Increasing the extent of use of external confirmation.
- Obtaining additional corroborative evidence from the third parties.
- Planning for sufficient procedures to evaluate the reliability of data.

3. Evaluating audit evidence

- Carrying out critical assessment of the validity of audit evidence obtained.
- Comparing financial and non-financial data to establish the validity of the evidence obtained.
- Assessing the sufficiency and appropriateness of the audit evidence obtained.

4. Forming an audit opinion

- Carrying out a final review of financial statement.
- Consider whether a motivation exist for the management to want to window dress the accounts.
- Obtain written management representation.

5. Going concern

- Evaluating management is mitigating plan of actions for feasibility.
- The auditor should obtain sufficient appropriate evidence that financial statement is not materially misstated.

- The auditor must adequately plan the audit.
- The auditor should obtain written management representations.
- The auditor should document the weaknesses in the management letter.

➤ **Responsibilities of the company's internal auditor for detection and prevention of frauds and errors**

1. Internal auditors have a significant role in the prevention and detection.
2. He should be able to identify deficiencies in the system and advice the management.
3. Wherever there is suspicion of fraud and errors, the I.A will be called upon to carry out an investigation.
4. Should report any suspicion of fraud and errors to supervisor.
5. The existence of the internal audit department acts as a preventive and detective measure against frauds and errors.

➤ **Action taken by the external auditor on suspicion of frauds and errors**

1. Report to the management.
2. Consider materiality.
3. If matter is material, carry out further procedures.
4. If procedures confirm that fraud has actually occurred, consider the impact on financial statement.
5. Consider the implications of the fraud on other areas of the financial statement.

➤ **Reporting fraud, errors and irregularities**

1. The auditor should always report to the management.
2. The auditor should only report to the board if the executive is involved.
3. The auditor needs not to report to the shareholders if the fraud does not affect the financial statement.
4. The auditor is bound by the principle of confidentiality and cannot disclose to third parties however, there are exceptions.

Specific example of fraud and errors

Teeming and lading (carry over fraud)

This is a fraud that is conducted in the sales ledger, which involves misappropriation of receipts from debtors.

➤ **Examples of errors and frauds that can take place in the purchase and creditors**

- Fictitious purchase
- Double processing of an invoice hence double payment.
- Double posting of an invoice hence overstating liabilities.
- Non-delivery of goods, which are later, invoiced.

TOPIC: FORENSIC ACCOUNTING

- Forensic accounting refers to the whole process of investigating a financial matter, including potentially acting as an expert witness if the frauds comes to trial. Forensic accounting utilizes auditing, accounting and investigate skills to conduct an examination into the company's financial affairs.
- This is the specific use of audit procedures and skills within a forensic investigation to find facts and gather evidence usually focused on quantifying financial loss.

Application forensic accounting

1. **Insurance claims.**
2. **Resolving disputes** i.e. matrimonial disputes, shareholder's disputes, partner's disputes etc.
3. **Negligence claims.**
 - Where the auditor has been accused of negligence a forensic accountant can be engaged to investigate work done and provide evidence as to whether it meets the required standards.
4. **In fraud investigations**
 - To determine if a deliberate fraud has actually taken place.
 - To determine nature and extent of the fraud
 - To identify the perpetrators of fraud and ultimately assist in their prosecution
 - To quantify financial loss suffered as a result of the fraud.
 - To uncover whether the situation has arisen through a mistake or criminal actions.

Application of the Code of ethics for professional's accountants would be applied in a forensic investigation

1. **Integrity** – The investigator should act with unquestionable integrity.
2. **Objectivity** – His objectivity must be beyond question
3. **Professional competence and due care** – he should work with people who are skilled in specific areas.
4. **Confidentiality** – During court, proceeding the client will require the investigator to reveal all information to the court.
5. **Professional behavior** – A highly professional attitude must be displayed.

Distinction between a statutory and forensic.

Statutory audit	Forensic audit
Carried by a qualified accountant	Can be done by only competent person
It's a legal requirement	It is not a legal requirement.
The report is either qualified or unqualified opinion	The finding are legal determination of the fraud.
The objective is to enable the auditor to express opinion on the truth and fairness of the financial statement.	To determine the correctness of the accounts and whether frauds has taken place.
The period covered is normally for all transactions for the particular financial year under audit.	There is no limitation in term of the period
Materiality thresholds are considered	Materiality thresholds are not considered

Register forensic Accountant

- Pay such fees as required.
- Be a member of one of the professional bodies approved by the committee.
- Have gained the membership through training
- Meet the requirement.
- Provided references as required.

A referee must satisfy the committee that he;

- a member of professional body
- Has been a member for 2 years.
- Has met the requirement.

An accredited Forensic accountant shall cease to be eligible under the scheme if;

- They fail to certify to annual compliance.
- Their fitness and priority come into question.
- They are criminally convicted.
- Willfully misled professional bodies.
- Fail to re- register.

Professional code of ethics

- A forensic CPA should conduct their investigations with the utmost integrity.
- A CPA shall not engage in any illegal conduct, which could lead to conflict of interest.
- A FCPA (Foreign Corrupt Practices Act) should obey and comply with all the rules of the court.
- A FCPA should hold client information to the highest standard of confidentiality
- FCPA should continually strive to promote the professional accountant in a positive manner to the society.

Expert evidence – is evidence given to a court or tribunal by a person, skilled and experienced in some professional; or technical expertise and conclusions are reached basing on his knowledge.

Forensic Accountant as an eye witness

Expertise witness – is a witness, who by virtue of education, training, skill or experience, is believed to have knowledge in a particular subject beyond that of the average person, sufficient that others may officially rely upon the witness specialized.

Qualification guidelines

1. Know the relevant professional standards.
2. Apply the relevant professional standards.
3. Know the relevant professional literature.
4. Know the relevant professional organization.
5. Use multiple analytical methods.
6. Subject the analysis to peer-review.

Types of investigation.

1. **Corruption:** - conflict of interest fraud, Bribery, extortion.
2. **Asset misappropriation;** - cash theft, fraudulent disbursement, inventory frauds, misuse of assets.
3. **Financial statement Frauds;** - Also known as fraudulent financial reporting, it is a type of fraud that causes a material misstatement in the financial statement.

Conducting an investigation.

1. **Accepting the investigation;** - consider whether the firm has necessary skills and experience to accept the work.
2. **Planning the investigation:**
 - Identify the type of fraud.
 - Identify fraudsters.
 - Quantify financial loss
 - Gather evidence to be used in court.
 - Provide advice to prevent re- occurrence
3. **Gathering evidence;**
 - Identify specific type of fraud
 - The evidence should be sufficient.
 - The evidence must be conclusive.
4. **Reporting:**
 - The client will expect a reporting containing the finding of the investigation.

- Summary of evidence and a conclusion.
- Recommend improvement to controls within the organization.

5. Court proceedings

- The evidence gathered during investigation will be presented at court.
- It is imperative that the members be called to court to present their evidence.

TOPIC: AUDIT EVIDENCE – ISA 500

- Audit evidence refers to facts and information gathered by the auditor from sources under his control, from management and from third parties, which he considers sufficient and appropriate as a basis of forming an opinion on the financial statement.

Qualities of a good audit evidence

1. Sufficient
2. Reliability
3. Relevance

Techniques of gathering Evidence.

- Inspection
- observation
- external confirmation
- recalculation
- re- performance
- ARP
- Inquiry
- Risk Assessment Procedure substantive testing and compliance testing.
-

Using the work of an expert ISA – 620

Auditors Expert.

- This is a person or a firm processing specialised skills knowledge and expertise in any other field other than accounting or auditing whose work in that field is to assist him to gather sufficient appropriate audit evidence

Management Expert.

- This is an individual or a firm possessing specialised skills knowledge and expertise in any other field than accounting and the management to assist the entity in preparing financial statement uses auditing whose work in that field.

Areas in which the Auditors experts may be needed.

1. Valuation of certain types of asset such as land and building complex financial instruments, jewellery etc.
2. In actuarial calculation of liabilities associated with liabilities contracts or employee.
3. In estimation of oil and gas reserves and other underground minerals.
4. In valuation of environmental liabilities and site, clean-up cost.
5. Interpretation of contracts laws and regulation.
6. In analysis of complex or unusual tax compliance issues.
7. In measurement of work completed construction contracts.

Factors to consider before placing reliance on the work of an expert.

1. **Competence and Qualification of the expert.**
 - a. Academics and professional qualification.
 - b. Experience in providing similar services.
 - c. Length of time he has been in the practise.
 - d. Reputation and recommendation from other clients.
 - e. Membership to the relevant professional body.
 - f. Possession of valid practising certificates.
2. **Independence or objectivity of the expert.**
 - a. Any significant shareholding.
 - b. Any blood relation with the key directors.
 - c. Any other business association or relation with the key directors.
 - d. Any other business with the client. The fee he was paid if he was a management expert.
3. **The scope of work and the depth of coverage.**
 - a. Assumption made.
 - b. The source of date.
 - c. The terms of reference T.O.R if he is a management expert.
 - d. The method used and if they are consistent with the industry practice.
4. **Result obtained**

- a. Whether the result is consistent with the result obtained using other audit procedures.
- b. Whether the result is consistent with the general expectation.
- c. Whether the result is consistent with the previous result on a similar matter e.g. In property valuation, what was the price of sale of similar property in the same region.

Ways in which the Auditors expert may be needed to assist the Auditor.

- i. Obtain an understanding of the entity and its environment.
- ii. Identify and assessing the risk of material misstatement.
- iii. Determine and implementing overall response to risk at financial statement.
- iv. Designing and performing further audit procedure.

Steps when the Auditors determine that the work of an expert is not adequate.

1. Agree with the expert on the nature and the extent of further work to be performed.
2. Perform additional audit procedures appropriate in the circumstances.

EXTERNAL CONFIRMATION.

- The auditors obtain audit evidence from third parties concerning account balances in the financial statements by this process. E.g.
 - Debtor's circularization to confirm account receivables.
 - Bank circularization to confirm bank details.
 - Circularization of the company lawyers to confirm contingent liabilities.

Forms of confirmation:

- a. Positive confirmation
- b. Negative confirmation.

i. Positive confirmation.

- This is where the respondent to circular letter is requested to respond to the auditors (directly) indicating whether he agrees or disagrees with the stated information in request.

ii. Negative confirmation.

- The confirming party is only required to reply if he disagrees with the stated balance or details.

Process of Extend confirmation.

1. Determine the information to be confirmed.
2. Select the appropriate confirming party or parties.
3. Obtain permission from the client to circularize third parties.
4. Select a sample from the potential confirming parties where necessary.
5. Design the confirmation letter, put it in the client's letterhead, and get it signed by the relevant authority / officer of the client.
6. Receive a response directly from the confirming parties.
7. Follow up on the confirmation.
8. Perform alternative audit procedures based on the responses.

Factors to consider designing a confirmation letter.

- a. The assertion to be addressed.
- b. The layout and presentation of the letter
- c. Prior experience in the audit of similar engagement.
- d. Method of communication.
- e. The management authorization.

Actions taken by the auditors on management's denial of permission denial of permission to circularize third party.

- a. Enquire as to management the reason, the validity and reasonableness of the reasons.
- b. Conclude whether the risk assessment needs to be revised.
- c. Perform alternative audit procedures.

WRITTEN MANAGEMENT REPRESENTATION – ISA 580

- The auditor should require written management representations on matters that are material to the Financial Statements where sufficient alternative audit evidence cannot reasonably be expected to exist.

Forms of management representation.

1. Written statements by the managements provided to the auditors to confirm certain matters or to support other evidence.
2. A statement written by the auditors detailing his on understanding of the management do the managements duly acknowledge oral representation.
3. Written public statements made by the managements relating to the Financial Statements, which is required by the law or by the legislation.
4. Relevant minutes of the board.

Elements of letter of representation.

- i. A confirmation about significant assumptions used.
- ii. A confirmation regarding disclosure of related party and related party transactions.
- iii. Confirmations regarding the going concern status.
- iv. A confirmation regarding completeness of the balance sheet item.
- v. An acknowledgement that the management has fulfilled its responsibility regarding preparations of financial statements.
- vi.

Actions taken by Auditors where the management refuses to provide written representation.

- i) Establish the reasons for the refusal.
- ii) Influence the management positively by explaining its importance.
- iii) Re- value the integrity of management.
- iv) Seek alternative audit evidence.
- v) Determine the possible effect on the financial statements.

Actions taken where there are debtors as to the reliability of the representation.

- i. Where the auditor identifies inconsistencies, the auditor should consider whether the risk assessment remains the same or need to be revised.
- ii. Determine the native, timing and extend of further audit procedures to respond to the identified risk.
- iii. Re- evaluate the integrity of the management, conclude on the risk assessment, and consider withdrawing from the engagement.
- iv. Document all the matters in the working papers.

AUDIT SAMPLING – ISA 530

- Is the application of audit procedures to than 100% of the population and drawing conclusions about the entire populations based on the results of the sample?
- **Reasons for sampling**
- ✓ Time constraint.
 - ✓ Cost constraint.

- ✓ Subject matters.
- ✓ Massive data may intimidate the audit staff.
- ✓ 100% check may not add any value in certain situations.
- ✓

Situations where audit Sampling may be inappropriate.

- Where the population is very small.
- Where the clients ICS is very weak.
- When the population is heterogeneous.
- When the suspicion of frauds and errors.
- When the risk assessment is very high.

Factors to consider when determine the size of an audit sample.

- i. Size of the population.
- ii. Material of the item.
- iii. Tolerable error.
- iv. Nature and quality of the client's systems.
- v.
- vi. Risk of misstatements.

SAMPLING TECHNIQUES.

1. Statistical sampling.
2. Non- statistical sampling.

a. Statistical sampling.

- This is a mathematical approach to sampling where the auditors relies on the probability theory to determine the sample size.

Advantages.

1. It is objective.
2. Precise results obtained.
3. The auditors can justify the items selected.
4. It is possible to get quantitative results.
5. It is free from classification errors.

Arguments against statistical

1. It is complicated.
2. It is time consuming.
3. Auditors Judgement is substantial with mathematics.
4. Requires accurate list of the entire population is very small.

b. Non- statistical/ Judgement.

- This is a non- mathematical approach to sampling that places no reliance on the probability theory.

Advantages.

1. Simple and well understood.
2. Economical and less time consuming.
3. No special knowledge is required.
4. It is ideal for small populations.

Sample selection techniques.

1. Simple Random selection: - items are selected randomly with the help of random numbers.
2. Attribute sampling: - an auditor picks from the population's items those possess pre- defined characteristics.
3. Monetary unit sampling: - this is where selection of the items is based on their shilling value.
4. Internal selection: - these similar to systematic selections however the start is not random.

5. Systematic selection: - the population divided with the desired sample size e.g. $k = 5$. Then every K^{th} item selected to form the sample start is random.
6. Stratified selection: - this involves subdividing the population into distinct sub- groups each with separately identifiable characteristics.
7. Block sampling: - this is where a block of items from the population is selected to form a sample.
8. Cluster sample: - a cluster is a concentration of items in one place.
9. Haphazard Selections: - the auditor does not use any structured technique to select the sample.
10. Multi- stage sampling: - this is where the population is hierarchically separated.

SAMPLING RISK

- This is the chance that the result obtained from the sample are different from the conclusion that would have been obtained if the entire populations were subjected to the same audit procedures.
 - Types of Errors: -
 - i. **In compliance testing**
- The auditors may over- rely on the controls while the controls are weak. On the other hand, the auditors may under- rely on the controls while in reality they are strong.
 - ii. **In substantive testing –**
- The auditor may conclude a balance is not materially misstated based on sample results while it is material if the test is applied to the whole population.
- On the other hand, the auditor may conclude the balance is materially misstated while the census indicate it is not materially misstated.

NON- SAMPLING RISK

- This is the chance that the auditors draw an enormous conclusion due to factors that are not associated with sampling.

Stages of sampling.

1. Planning the Sample. This entails: -
 - Determine the audit objectives.
 - Defining the population.
 - Determine sampling unit.
 - Determine the expected errors.
 - Defining the tolerable error.
 - Stratify the population.
2. Carry out the selection of the items using appropriate techniques.
3. Perform alternative audit procedure.
4. Project the result to entire population.
5. Evaluate the results of the sample.
6. Auditor's conclusions.

AUDIT OF ELEMENT OF FINANCIAL STATEMENTS.

Financial statements assertions.

- These are representation of the directors embodied in the financial statements.
 1. Assertions about account balances.
 - Existence
 - Rights and obligations.
 - Valuations.
 - Completeness.
 2. Assertions about classes of transactions and Events.

- Occurrence.
- Completeness.
- Accuracy.
- Classifications.
- Cut- off

3. Assertions about presentation and disclosure.

- Occurrence
- Completeness and disclosure
- Accuracy and valuation
- Classifications and understandably.

➤ Audit of Tangible – Non Current Assets.

Assertions	Audit procedures
Existence	Physically inspect
Rights and obligations	• Inspect legal document. • Inspect supplier invoice. • Circularize third parties. • Review correspondences. • Obtain written management representation
Valuation	1. Cost • Inspect supplier invoices. • Consider market prices • Circularize supplier. 2. Depreciation. • Discuss depreciation policy with management. • Recalculate depreciation. • Review board minutes • Review prior year's financial statements. 3. Revaluation. • Insect board minutes. • Determine independence and competence of value. • Consider assumptions made. • Check if there is appropriate disclosure. 4. Additions and Disposals • Review board minutes • For additions, check to confirm criteria for recognition. • Check the recording.
Completeness.	• Inspect the fixed assets register. • Trace the asset to the ledger.

IMPAIRMENT – IAS 36

➤ *impairment = carrying amount – recoverable amount*

Indicators of impairment.

a. Internal indicators.

1. Obsolescence.
2. Physical damage.
3. Discontinuation of use evidence of reduced efficiency

b. External indicators.

1. Significant decline in market value.

2. Negative changes in economic value.

3. The company's stock prices is below the book value.

Auditors concern and Procedure with regard to Impairments.

1. The auditors should consider whether there is any indicator of impairment.
2. If impairment has taken place, he should request the management of review.
3. If no review has been carried out, discuss with management about the need for one
4. If they refuse quality the reports.
5. If an impairment review has been carried out, the auditor should audit the review.
6. The auditor should consider the judgement made by the management.
7. Verify value in use by:
 - Obtain management's calculation of value in use.
 - Re – calculate the V.I.U
 - Compare with previous calculations.
 - Refer to competitors published information.
 - Compare the discounting rate use to the published market rate.

INVESTMENT PROPERTIES – IAS 40

➤ This is a property held to earn rental or for capital expenditure.

Audit procedures

1. Physically Inspect the Assets.
2. Inspect the document of title
3. Confirm the investment meets the definition of IAS 40
4. Verify valuation: if the assets are held at cost: -
 - Verify the cost to the purchase document.
 - Discuss depreciation policy with management.
 - Recalculate depreciation.
- : If the asset is held at fair value: -
 - Evaluate independence of the one valuing.
 - Evaluate assumptions used.
 - Consider the sale price of similar property.
 - Review subsequent events.
5. Review fixed assets register to confirm that all the investment properties have been included

Risk associated with audit of financial statement with material Assets stated at fair value instead of Historical cost.

a. Inherent Risk.

1. Fair value assessment is likely to involve significant judgement
2. Fair value measurement is based on estimates, which are inherently subjective in nature.
3. The management may attempt to manipulate fair values.
4. Many fair value models are complicated.
5. Fair value measurement techniques contain significant assumptions.

b. Control Risk

1. The entities ICS may fail to detect and prevent valuations errors.
2. Being a non- routine event, the fair value assessment is unlikely to have the same level of monitoring as the day-to-day transactions.

c. Detection Risk.

1. The audit team may lack experience to deal with this.
2. Over- reliance on the expert specialist would lead to errors not being found.

Held for sale non- current assets. IFRS 5

➤ These are assets whose carrying amount will be recovered through sale rather than through continued use.

Criteria for Recognition.

- The asset must be available for immediate sale.
- The sale must be highly probable.

MEASUREMENTS

- The assets should be measured at the lower of carrying amount and fair value less cost to sell.

Audit procedures

1. Confirm that the assets meet the definition of assets held for sale.
2. Physically inspect the assets.
3. Confirm that the assets have been valued as per IFRS 5.
4. Confirm that the assets have not been depreciated.
5. Assess how the fair value has been determined.

INTANGIBLE ASSET – IAS 38

- This is an identifiable non- monitoring asset without physical substance.

Criteria for recognition.

- It must be controlled by the entity.
- Future economic benefit
- It can be measured reliably in terms of money

a) Audit of goodwill

- There are two types of goodwill: -

1. Purchased goodwill

2. Non- purchased goodwill

- Purchased goodwill should be recognised as an asset and tested annually for impairment loss.
- Non- purchased goodwill should not be recognized

Audit procedures

1. Agree consideration to the sale agreements.
2. Review board minutes.
3. Re- calculate good will.
4. Check goodwill does not include non- purchased goodwill.
5. Ensure the valuation of the goodwill is reasonable.
6. Check impairment review.
7. Review impairment review.

Audit of intellectual properties.

Audit procedures.

1. Obtain a schedule of all intellectual properties.
2. Examine written agreements.
3. Circularize the commissioner of intellectual properties.
4. Verify the payment of the annual fee.
5. Review amounts capitalized.
6. Review specialist valuation.
7. Review amortization.

b) Audit of research and Development cost IAS 38.

- Research cost should be charged to profit and loss in the year of expenditure Development Cost should be capitalized.

Criteria for Capitalization of Development Cost.

1. Completion of the asset is technically feasible.
2. The entity intends to complete.
3. The business will be able to use or sell the asset

Audit procedures.

1. Obtain a schedule of all the R&D cost.
2. Inspect the board minutes.
3. Check accounting records.
4. Confirm amortization.
5. Review calculation of the future cash flows.
6. Confirm existing demand for the asset.

INVENTORIES – IAS 2

- These are assets bought with an intention of reselling in order to make profit and excludes W.I.P in long-term construction contracts.
- Stock should be valued at lower of cost and NRV.

Risk associated with Audit of stock.

1. Stock may be held in different locations.
2. Stock can easily be manipulated.
3. Stock is made up of various components.
4. Valuation of stock may be subjective.
5. Stock may be obsolete.

Audit procedure for stock

Assertions	Procedures
Existence	Physically inspect and attend stock count
Rights and obligations	➤ Inspect purchase invoice. ➤ Match invoice with GRN and LPO
Completeness	➤ Inspect final stock sheet. ➤ Review correspondences with third parties. ➤ Obtain written management representation.
Valuation	➤ Check the method applied is consistent with IAS 2 ➤ Verify the NRV ➤ Obtain written management representation. ➤ Review sales after the balance sheet date. ➤ Obtain a schedule of abnormal, damaged and obsolete stocks.
Cut-off	➤ Pick GDN a few days before and after years end. ➤ Match dispatch notes with respective sales invoices. ➤ Trace the invoices to the ledger. ➤ Pick GRN before and after year-end. ➤ Match their respective purchase invoices and LPO

CONSTRUCTION CONTRACTS - IAS 11

- This is a contract negotiated for the construction of an asset or a combination of assets that are closely related or interdependent in terms of design technology and function or their ultimate purpose or use.

Audit procedure.

1. Obtain a copy of the contract.
2. Obtain a copy of the calculation.
3. Verify cost of work completed.
4. Verify contract revenue.
5. Verify payments on accounts
6. Re- calculate the profit recognized.
7. Obtain written management representation.

CONTINGENT LIABILITIES

- This is a present possible obligation that arose as result of a past event, which will be confirmed by the outcome of a future event that is not within the control of the entity.

Probability	Treatment
Highly probable	Recognize a provision.
Likely	Provide a disclosure
Highly unlikely	Ignore.

Audit procedure.

1. Obtain a list of contingent liabilities.
2. Obtain a detailed analysis of the movements.
3. Consider likelihood of reimbursement.
4. Recalculate the provisions.
5. Consider the nature of the client's business.
6. Obtain written management representation.

Audit procedure for legal claims.

- Discuss with management to get the facts of the case.
- Discuss with the company lawyers.
- Look at correspondences.
- Review any press statement.
- Evaluate reasonableness of the assumption made.
- Recalculate the provision.
- Obtain written management representation.

Warranty claims

- Review warranty documents.
- Recalculate proportions of the warranty to sales.
- Review warranty claims
- Review past payments.
- Re- calculate the provisions
- Obtain written management representation.

AUDIT OF TRADE PAYABLE

- Audit procedures.
- Obtain a breakdown of trade payable
- Select a sample of creditors and circularize them.
- Prepare creditors control account.
- Select a sample of purchases invoices and inspect them.
- Agree GRN to purchase invoices.
- Trace the recording in the creditors control account.
- Perform cut- off test.

AUDIT OF ACCRUALS

Audit of procedure.

- Obtain a breakdown of accruals.
- Review prior year S.O.F.P to determine balance brought down.
- Review service contract.
- Review invoices received.

- Recalculate the accruals.
- Obtain written management representation.

LEASES – IAS 17

- They are classified into 2
- Finance lease
- Operating lease.

i. Finance lease

- There is option of purchase.
- Lease period substantially offers entire life of the asset.
- PV of lease rental $\geq$ NBV

Accounting treatment

- Capitalize the asset.
- Recognize finance lease liability.
- Charge depreciation.
- Split the lease rentals.
- Into capital and finance charge

ii. Operating leases.

- Charge rentals.
- Accrue unpaid and prepay prepaid rentals.
- Expense the rentals to profit and loss.

iii. Sale and lease back

- Recognized the asset in SOFP.
- Profit or loss on disposal is deferred over lease period.

Audit procedures for leases

1. Inspect the leases property.
2. Obtain a copy of the lease agreements.
3. Check to see that the lease has been classified correctly.
4. If it is a finance lease;
 - Obtain a copy of client's workings.
 - Check arithmetic accuracy.
 - Recalculate the interest.
 - Re- calculate depreciation.

REVENUE RECOGNITION – IAS 18

- IAS 18 covers revenue from sale of goods, recognition of services, interest, royalties and dividends.
 - a) Revenue recognition for sale of goods.
 - The entity should only recognize revenue when;
 - The earning process is essentially complete and the seller has substantially fulfilled his part of obligation.
 - Risk and rewards of ownership have been transferred to the buyer.
 - The entity has no continuing management involvements in the goods.
 - It is probable that economic benefit will flow into the entity.
 - Collection of revenue is certain.
 - b) Revenue for rendering of services
 - The entity should recognize revenue depending on the stage of completion of the transaction.

c) Royalties, interest and dividend

- It is probable that economic benefits flow into the entity.
- The revenue can be mean and reliable.

Basis of Recognition.

Interest – time basis

Royalties – accrued basis

Dividend – when shareholders approve.

Audit procedures

a. For revenue from sales.

- Determine whether the criteria for recognition have been met.
- Verify the measurement of the revenue.
- Obtain a breakdown of the sales on a month-by-month basis.
- Enquire into any significant differences.
- Select a sample of sales of invoices and inspect them.
- Match the sales invoices with GDN
- Trace the invoices to the ledger.
- Perform sales cut – off test.

b. For revenue from rendering services.

- Number, one, and two as in above.
- Review the contract of service.
- Review the billing.
- Obtain a breakdown of total cost to date and total estimated cost to completion.
- Discuss with management assumption made.

c. For interest and dividend.

- Obtain a schedule of all financial securities.
- Verify existence of the investments
- Circularize the stockbroker.
- Circularize the CBK
- Recalculate dividend receivable
- Trace the receipt of dividend to the bank statement.
- Re- calculate interest income based on time basis.

GOVERNMENT GRANTS – IAS 20

Should be recognized when:

- The entity will actually receive the grant.
- There is reasonable assurance the entity will comply with the conditions attached.

Approaches for accounting.

- Income statement approach.
- Capital approach.

Disclosure of requirement

- Accounting policy used.
- The nature and extent of the government grants.
- Unfulfilled condition and other contingencies.

Audit procedures.

- Obtain documentaries relating to the grant.
- Confirm that the conditions for recognition have been met.
- Agree the value to the documentation.
- Agree receipt of the grant to the bank statement.
- Review any assumption made
- Obtain written management representation.

BORROWING COST – IAS 23

- this is interest and other cost incurred in connection with borrowing of funds.
- Borrowing cost should be capitalized.

Audit procedure

- Check to confirm that the interest has been capitalized only up to the date the asset was ready for use.
- Review loan agreement.
- Verify the payment records to the bank statement.
- Inspect the asset to determine its condition.

FOREIGN EXCHANGE TRANSACTION (IAS 21)

- Monetary items should be translated at closing rate.
- Non- monetary items should be translated at spot rate.

Audit procedure

- Check, that the foreign currency transaction are recorded at historical are recorded at historical rate on initial recognition.
- Check that monetary items are translated at closing rate.
- Check that non- monetary items are translated at spot rate.

CHANGES IN ACCOUNTING POLICY – IAS 8

Disclosure

- Reasons for the change
- The shilling effect of the change
- A disclosure note.
- A change in policy should be applied retrospectively.

Auditors concern and procedures.

- Check whether there is adequate disclosure.
- Discuss with management to identify any change in policy.
- Review year working papers.
- Establish the exact nature of the change
- Review the calculations.

EMPLOYEE BENEFIT – IAS 19

- Audit procedures
- Request the directors to reconcile the schemes asset valuation.

- Obtain direct confirmation on the schemes assets.
- For scheme liability asses the need for actuary's work.
- Review assumptions made.
- Obtain written management representation.

AUDIT OF ACCOUNTING ESTIMATES – ISA 540

- An accounting estimate is an appropriation in the observance of a precise means of measurement.

Examples

- Depreciation
- Provisions such as provisions for contingent liability.
- Warranties and guarantees.

Audit procedure.

- Review and test the processes used by management to develop the estimates.
- Review the underlying contract.
- Review correspondences with third parties.
- Consider whether the data is accurate, complete and reliable.
- Consider whether the basis of the assumption is appropriate.
- Obtain written management representation.

RELATED PARTIES AND RELATED PARTY TRANSACTION – IAS 24

➤ Examples

- A parent company with its subsidiaries.
- Joint venture
- Directors of the company.
- Major shareholders.

Related party transaction.

- This is the transfer of asset or liabilities or provisions of services with a related party regardless of whether or not a price has been charged.

Auditors objectives

- To obtain an understanding of the related party relationship
- To obtain sufficient appropriate audit about whether the related party relationships and transactions have been appropriately identified, accounted for and disclosed.

Risk associated with audit of related parties and related transactions.

- Many entities operate through a complex through a complex range of relationship and structures.
- Some related party transactions may not involve payments.
- Related party transactions may not be conducted under normal terms and conditions.
- Related party transaction may be deliberately concealed.

Audit procedure to identify related party transaction.

- During the auditor needs to be alert of an unused related party transaction.
- Review the minutes of an unused related party transaction.
- Review conflicts of interest statement.
- Review accounting records.
- Consider whether transactions are accounting without account recognition.

Examining identified related party transactions.

- Inspect underlying contracts.
- Circularize the related parties.

- Inspect evidence in possession of the R.P
- Performance appropriate substantive audit procedure.
- Obtain written management representation.

Disclosure requirement – IAS 24

- Name of the related party relationship
- Nature of the related party transaction.
- The outstanding amount
- Special terms and condition.

TOPIC: AUDIT FINALIZATION

GOING CONCERN – IAS 570

- This is an assumption that the entity will continue in operational existence into the near future and that it has no intention of either winding up or curtailing materially into scale of operation.

Factors that may cast doubt about going concern

1. Financial Indicators

- Net liability.
- Negative operating cash flows
- Inability to pay creditors.
- Denial of credit supplies.
- Adverse Key financial ratio.

2. Operational indicators

- Loss of major key customers and markets
- Loss of key operating personnel without replacement.
- Shortage of important supplies.
- Denial of major operating licence.

3. Other indicators

- Changes in law and legislation adversely affecting the firm.
- Non- compliance with CMA regulation.
- Occurrence of uninsured catastrophic.

Audit procedure when the going concern is questionable.

- Enquire from the management about their assessment for the going concern status.
- Find out their mitigating plans of actions.
- Evaluate the feasibility of each mitigating plans.
- Read the minutes of shareholders.
- Obtain the written management representation.

Examples of mitigating plans.

- Sale of asset that are no longer in use.
- Sale and leaseback.
- Franchising.
- Additional borrowing.
- Merger/ acquisition.
- Sell of unprofitable business unit.

Examples of considerations regarding mitigating plans of actions.

i. A plan to obtain additional funding.

- **Audit procedure**

- Review the loan agreement.
- Review correspondences
- Circularize the lender.
- Inspect the AOA

ii. A plan to sell some assets.

- Verify existence of the assets.
- Verify ownership of assets.
- Check to confirm the assets is not mortgaged.
- Check marketability of assets.

iii. Financial strategies e.g. franchising.

- Inspect the minutes of the board.
- Evaluate financial viability.
- Obtain technical advice.
- Communicate with the respective franchise.

iv. Sale of unprofitable business units (discontinued operations)

- Review board minutes.
- Circularize the prospective buyer.
- Discuss with management.
- Check to see the discontinued operations have been accounted for properly in line with IFRS 5.

Impact of going concern on auditor's report.

1. Where the company has going concern problems and Financial System give sufficient disclosure of the problems the auditors should issue an unqualified report with an emphasis of matter paragraph.
2. Where there are going concern problems and there is no disclosure in the Financial System, the auditor should issue an advance opinion.
3. Where there are going concern and the auditor has requested the management to carry out an assessment of the going concern and the management decline, the auditor should issue a disclosure of opinion.

SUBSEQUENT EVENTS: IAS 10; ISA 560

- These are events that take place after the balance sheet date but before the AGM

Classification.

- Adjusting Events.
- Non- Adjusting Events.

1. Adjusting Events.

- These are events after the balance sheet date providing additional/ confirmatory evidence about condition that where existing as at the balance sheet date.

Examples

- Bankruptcy of a debtor.
- Recovery of a bad debtor
- Determination of a court case for which a provision had been made.

2. Non- Adjusting Events

- These are events after the balance sheet date that does not concern conditions that existed as at the balance sheet date.

Examples

- Destruction of a major plant by fire.
- A major disposed of non- current asset.
- Announcement to discontinue some operations.
- Proposed dividends after the balance sheet date.

Accounting for post – balance sheet Events.

- Adjusting events require alteration of figures on the face of the financial statement.
- Non- adjusting events do not require amendment of the figures on the financial statement but a disclosure note should be made in to notes to the accounts.

Audit objectives of reviewing subsequent events.

- To obtain sufficient appropriate audit evidence about whether events after the balance sheet date that require adjustment have been appropriately incorporated.
- To obtain sufficient appropriate audit evidence about whether subsequent events that require disclosure have been appropriately disclosed.
- To enable the auditor to respond appropriately to facts that become known to him after the audit report.
- To obtain evidence about cut off.

Auditor's responsibility for Subsequent events.

i. After the balance sheet date up to the date of the audit report.

- To carryout audit procedure to identify subsequent events.
- To ensure events that require amendment have been incorporated and those that require disclosure disclosed.

Audit procedure to identify subsequent Events.

- Review and discuss the latest available budgets, cash flows etc.
- Review and discuss latest intern financial statements.
- Review accounting records after the balance sheet date.
- Read the minutes of shareholders.
- Obtain written management representations.

ii. Events after the audit report but before the Financial Statement are signed and issued.

- The auditor has no obligation to make enquiries or perform audit procedures.
- However, if he becomes aware of a material subsequent events.
- He should discuss with management to determine if the Financial Statement need to be amended.
- If the Financial Statement are amended, the auditor should extend the amendment.

iii. After the F.S have been signed and issued but before the AGM.

- The auditor has no responsibility. However, if he becomes aware of material subsequent event;
 - He should discuss with management to determine if F.S need to be amended.
 - If they are amended, extend audit procedures to the amendment.

- Consider whether the audit report needs to be revised
- Consider whether the change needs to be publicised.
- Seek legal advice.

➤ Other information in documents containing audited F.S - ISA 720

Example of other information

- Employment data.
- Key financial ratios.
- Selected quarterly data.
- Planned capital expenditure.
- Names of top 10 shareholders.
- Financial summary and highlights.
- Names of key officers and directors.

The auditor should read the other information to identify any material inconsistency.

1. A material inconsistency is where the other information contradicts the information contained in the F.S
2. Misstatement of fact is other information that is not related to matters appearing in the F.S that is incorrectly stated or president.

Dealing with material Inconsistency

- a. Where material inconsistency has been identified, the auditors should consider whether it is the audited F.S or other information that needs to be revised.
- b. If revision of audited F.S is necessary and the management refused to make the amendment qualify the audit report.
- c. If revision of the other information is necessary and the management refuses to make the revision, communicate to those charged with governance.

Dealing with misstatement of fact.

- Discuss with the management.
- Request the management to consult with a qualified third party.
- Include other matter paragraph.

Opening balances & comparatives opening balances.

- These balances exist at the beginning of the period.
- The auditor should ensure that;
 - The OB do not contain material misstatements.
 - Prior period closing balances have been correctly brought forward.
 - Appropriate accounting policies have been consistency applied.

Consideration.

1. Where the previous financial audited.
2. If they were audited, was the opinion modified.
3. If the opinion was modified, has the matter been resolved since.
4. Where any adjustment made because of the audit.

Audit procedure

- Consult the client's management.
- Perform substantive test on OB.
- Review accounting records and control procedures.
- Consult the predecessor auditor.

Comparatives.

Comparatives are the corresponding amounts and other related disclosures from the preceding period.

The auditor should determine whether;

- Whether the comparative information agrees with the amount in the prior periods.
- Accounting policies reflected in the comparative are consistent with those applied in the current period.
- Whether the comparative comply with the comparative comply with the financial reporting framework.

Reporting

- When comparatives are presented as corresponding figures, the auditor should issue on audit report in which the comparatives are not specifically identified because the audit opinion is not the financial as a whole including the corresponding figures.

Circumstances when the auditor may make specific references to the corresponding figures.

- When previous audit report was qualified.
- When the auditor becomes aware of a material misstatement that affects previous year's F.S on which an unmodified report was issued.
- If prior year's F.s have not been revised and the corresponding figures have not been, re- stated or appropriately disclosed with regard to the subsequent events.

Impact of comparatives on the Auditor's Report.

- Where the previous year's audit report was qualified, and the matters have not been resolved, qualify the audit report due to opening balances and comparatives.
- If however, the matter has been resolved, issue an unqualified report with other matter paragraph.

TOPIC: INDEPENDENT AUDITORS REPORT.

This is the product of an audit process where the auditor communicates his findings to the shareholder and other interested party.

➤ Disclosure Requirement.

- a) The client company has maintained proper books of accounts.
- b) He received all information and explanation that he deemed necessary for the audit.
- c) He received returns from branches.
- d) Whether the books of accounts are in agreement with F.S
- e) Whether F.S give a true and fair view.

Elements of an audit report.

1. Title.
 2. Addressee.
 3. Opening paragraph.
 4. Scope paragraph.
 5. Opinion paragraph.
 6. Date of the report.
 7. Auditors address.
 8. Auditor's signature.
1. **Title:** - the audit report should have an appropriate title indicating it is the independent auditors report.
 2. **Addressee:** - the report is usually addressed to the shareholders of the company.
 3. **Introductory paragraphs:** - the report should identify the F.S of the entity that have been audited including the date and the period covered by the F.S. There should be statements of the auditors and management.
 4. **Scope paragraphs:** - basis is also known as the basis of opinion paragraph. The paragraph describes in details the work that was performed which forms the basis of the audit opinion. This paragraph should describe the audit as consisting of;
 - Examination on a test basis to obtain audit evidence.
 - Assessment of appropriateness of accounting policies used.
 - Evaluation of reasonableness of the accounting estimates made.
 - Evaluation of the overall presentation of the F.S
 5. **Opinion paragraph:** - should state clearly, as to whether the F.S give a true and fair view. (Alternatively, are presented fairly in all material aspects.)
 6. **Date of the report.**
 7. **Auditor Address.**
 8. **Auditors Signature.**

Types of Audit Reports.

1. Unqualified
2. Qualified.

Unqualified Audit Reports.

- This is a favorable report issued when the auditor has no reservations about the F.S

Qualified Audit Reports

	matter	Material but not persuasive	Material and persuasive
basis			
Limitation of scope		Possible adjustment	Disclaimer of opinion
Disagreement		'except for'	Adverse

This is an unfavorable report given when the auditor has reservation about the clients financial reporting.

Basis of Qualification

1. **Limitation of scope:** - this arises when the auditor is unable to obtain all the information and explanations that he deemed necessary for forming an opinion.

Examples

- Denial of permission to circularize
- Destruction of records by fire.
- Denial of access to people in the organization

- Records taken out by regulatory authorities

2. **Disagreement :-** This arises when the auditor disagrees with the management on matters as contained in the F.S

Examples

- Appropriateness of accounting policies used.
- Extent of disclosure.
- Amount.
- Selection of accounting policy
- Application of accounting policy
- Application of laws and legislations

Emphasis of the Matter paragraph.

- This is a paragraph that an auditor will include in an unqualified report to bring to the attention of the users matters that are material to F.S
- Such matters include;
 - A pending legal case that is material.
 - Going concern problems
 - Material subsequent event
 - New legislation that may have an impact on the financial statement

Key audit matters

Key audit matters are those matters that were of most significance during the audit.

There is then a full description of these matters in accordance with ISA 701. This is covered in more detail below.

Other matter paragraph (if one)

This paragraph is used, if necessary, to communicate a matter that is not required to be presented or disclosed in the financial statements which is relevant to the user's understanding of the audit, the auditor's responsibilities or the auditor's report.

Circumstances in which another matter paragraph may be necessary:

- Where the auditor reports on two sets of financial statements prepared under different general purpose frameworks (e.g. a national framework and IFRS).
- Where the financial statements have been prepared for a specific purpose, to state that the auditor's report is solely for the intended users.
- In the rare circumstance where the auditor is unable to withdraw from an engagement even though a management-imposed limitation on the audit may be pervasive.

Communicating Key Audit Matters in the Independent Auditor's Report

The first thing to note is that the auditor only reports on key audit matters ("KAMs") in respect of listed entities.

The auditor shall determine, from the matters communicated with those charged with governance (TCWG), those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

- (1) Areas of higher assessed risk of material misstatement or significant risks
- (2) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty

(3) The effect on the audit of significant events or transactions that occurred during the period.

The auditor therefore selects only those matters that were of most significance in the audit of the financial statements of the current period and therefore are the **key audit matters**.

Key audit matters are therefore identified by:

- Starting with all matters communicated with TCWG (including the audit committee).
- Determining the matters that required significant auditor attention in performing the audit.
- The most significant of these are the “key audit matters”.

SPECIALIZED AUDITS

VALUE FOR MONEY AUDIT (PERFORMANCE AUDIT)

➤ The audit focus on 3E's

- Economy
- Efficiency
- Effectiveness

- a. **Economy:** - Focuses on whether the firm is able to get its various inputs in their right quantities and quality at their most economical cost
- b. **Efficiency:** - focuses on the relationship between output and input.
- c. **Effectiveness:** - Focuses on how well an activity is achieving its intended purpose.

Matters that should be clearly communicated to the readers of value for money audit

1. Objectives, nature, time covered by the audit.
2. Professional standards used
3. Criteria used.
4. Observation made.
5. Recommendations
6. Management's comments if any
7. Conclusions reached.

FORENSIC AUDIT

➤ This is the specific use of audit procedures and skills within a forensic investigation to find facts and gather evidence usually focused on quantifying financial loss.

Application

1. Insurance
 2. Resolving disputes
 3. Negligence disputes
 4. In fraud investigations
 - To determine if a deliberate fraud has actually taken place.
 - To determine nature and extent of the fraud
 - To identify the perpetrators
 - To quantify financial loss
 - To uncover whether the situation has arisen through a mistake or criminal actions.
- How the Code of ethics for professional's accountants would be applied in a forensic investigation?
1. Integrity – The investigator should act with unquestionable integrity.
 2. Objectivity – His objectivity must be beyond question

3. Professional competence and due care – he should work with people who are skilled in specific areas.
4. Confidentiality – During court, proceeding the client will require the investigator to reveal all information to the court.
5. Professional behaviour – A highly professional attitude must be displayed.

Distinction between a statutory and forensic.

Statutory	Forensic
Carried by a qualified accountant	Can be done by only competent person
It's a legal requirement	It is not a legal requirement.
The report is either qualified or unqualified opinion	The finding are legal determination of the fraud.
Covers a particular years under audit	There is no such limit in terms of period.

Register forensic Accountant

- Pay such fees as required.
- Be a member of one of the professional bodies approved by the committee.
- Have gained the membership through training
- Meet the requirement.
- Provided references as required.
- **A referee must satisfy the committee that he;**
 - Is a member of professional body
 - Has been a member for 2years.
 - Has met the requirement.
- **An accredited Forensic accountant shall cease to be eligible under the scheme if;**
 - They fail to certify to annual compliance.
 - Their fitness and priority come into question.
 - They are criminally convicted.
 - Wilfully misled professional bodies.
 - Fail to re- register.

Professional code of ethics

- A forensic CPA should conduct their investigations with the utmost integrity.
- A CPA shall not engage in any illegal conduct, which could lead to conflict of interest.
- A FCPA should obey and comply with all the rules of the court.
- A FCPA should hold client information to the highest standard of confidentiality
- FCPA should continually strive to promote the professional accountant in a positive manner to the society.

Forensic Accountant as an eye witness

Qualification guidelines

1. Know the relevant professional standards.
2. Apply the relevant professional standards.
3. Know the relevant professional literature.
4. Know the relevant professional organization.
5. Use multiple analytical methods.
6. Subject the analysis to peer-review.

Types of investigation.

1. Corruption: - conflict of interest fraud, Bribery, extortion.
2. Asset misappropriation; - cash theft, fraudulent disbursement, inventory frauds, misuse of assets.

3. Financial statement Frauds; - Also known as fraudulent financial reporting, it is a type of fraud that causes a material misstatement in the financial statement.

Conducting an investigation.

1. Accepting the investigation; - consider whether the firm has necessary skills, commercial consideration.
2. Planning the investigation: -
 - Identify the type of fraud.
 - Identify fraudsters.
 - Quantity financial loss
 - Gather evidence to be used in court.
 - Provide advice to prevent re- occurrence
3. Gathering evidence; -
 - Identify specific type of fraud
 - The evidence should be sufficient.
 - The evidence must be conclusive.
4. Reporting: -
 - The client will expect a reporting containing the finding of the investigation.
 - Summary of evidence and a conclusion.
 - Recommend improvement to controls within the organization.
5. Court proceedings
 - The evidence gathered during investigation will be presented at court.
 - It is imperative that the members be called to court to present their evidence.

E- COMMERCE AUDIT

E- Commerce means conducting business over the internet.

Risk associated with e- commerce

1. Computer viruses
2. System failure
3. Confidentiality.
4. Data corruption/ duplication
5. Healthy and safely risk.
6. Loss of audit trail.

Carrying out E- commerce

- Decide whether the audit engagement should be accepted or not.
- Assigning staff with IT skills to the audit.
- Obtaining a detailed knowledge of the client business.
- Pay special attention to going concern.

SOCIAL AND ENVIRONMENTAL AUDIT

- Social audit is a way of measuring, understanding, reporting and ultimately improving an organizations social and ethical performance.
- It is undertaken to ensure the business meets the social responsibilities of different stakeholders e.g. employees, government, customers, suppliers.

Objectives of social Audit

- Assessing physical and financial gaps between needs and receives available for local development.
- Creating awareness among beneficiaries and providers of local social and productive services.
- Increasing efficiency and effectiveness of local development programmes.
- Scrutiny of various policy.

Nature of social Audit

- Establishing whether the company has a rationale for engaging in CSR
- Identifying that all the current environmental programmes are concurrent with the mission of the company.
- Assessing objectives of social responsibility programmes and ranking them.
- Evaluating the company involvement in such programmes in the past, present and future.

Advantages of social audit.

- Trains the community on participating local planning.
- Encourages local democracy.
- Encourages community participation.
- Benefit disadvantaged groups.
- Develops human resources and social capital.

Steps in social audit in local bodies.

- Clarity of purposes and goals of the local elected body.
- Identify stakeholders.
- Definition of performance indicators.
- Regular meeting to review data on performance indicators.
- Follow up social audit meeting with the body reviewing stakeholder's actions.
- Establish a group of trusted local people.
- Share the findings of social audit with all local stakeholders

Measuring social and environmental performance

- One way of measuring social performance is to set the targets and sustainability indicators and then find out whether the target have been met.

Consideration

- Reduce emission of CO₂
- Reduce emission of nitrogen oxide.
- Reduce employees accidents while at work.

Sustainability principles

- Ensure efficient use of resources.
- Maximise profitability from operations.
- Respect and safeguard of interest of old people

Environment Audit

- Is a management tool comprising a systematic, documented, periodic and objective evaluation of how well organization management and equipment with an aim of controlling to safeguarding the environment.

Types of environment Audit.

1. Environment management audit.
2. Environment compliance audit.
3. Environment assessment audit.

4. Waste audit.
5. Environment due diligence audit
6. Environment impact audit.

Impact of environmental matters in the financials.

- Assets values may be impaired.
- Going concern issues may arise.
- Contingent liabilities.
- Capital and revenue expenditure may be incurred.
- Application of environmental laws and regulations.
- Operations of process that may cause pollution.

Audit procedures.

- Obtain a copy of the company's environmental policy
- Assess whether the policy is likely to achieve the objectives.
- Test implementation and adherence to the policy.
- Perform substantive procedures as per IAS 37

Principles of corporate governance

The Organization of Economic Cooperation Development (OECD) promotes six Principles of a corporate governance framework:

- It should promote transparent and fair markets and support effective supervision and enforcement.
- It should protect shareholders' rights and ensure all are fairly treated (ie including minority shareholders).
- It should provide for stock markets to contribute to good corporate governance (eg by prohibiting insider trading).
- It should recognise the rights of all stakeholders, not just shareholders.
- It should ensure timely and accurate disclosure of all material matters, including financial position, performance, ownership and governance.
- It should ensure the strategic guidance of the entity, effective monitoring of management by the board and the board's accountability to the entity and their shareholders.

TOPIC: THE INTERNAL AUDIT FUNCTION.

- Internal auditing is a continuous independent appraisal of all the activities and procedure of their relevance, effectiveness and efficiency and provide feedback to the management

Scope of work and responsibility of internal auditors

1. Examining and evaluating the adequacy and effectiveness of the ICS and accounting system
2. Reviewing the credibility and integrity of the F.S
3. Reviewing company's compliance with laws and legislation
4. To carry out value for money audit.
5. To provide feedback to management regarding failure and success of operation.
6. To assist the board in the governance process.
7. It acts as a preventive and detective measure against commission of frauds and errors.

Preliminary Assessment of the Internal Audit function

- The external auditor should carry a preliminary assessment of the internal audit function before placing reliance on the work of the internal auditors.

Factors to consider before placing reliance on the work of internal auditors.

1. Competence and qualification of the internal auditors.
2. Scope of work of the internal audit function.
3. Level of resources available to the internal audit function
4. Due professional care
5. Effectiveness of the internal audit function.
6. Previous experience with the internal audit function.

Areas of reliance by external auditors on the internal auditor's work.

- i. Visiting branches on behalf of external auditors
- ii. Attending physical stock take on his behalf.
- iii. Adminstrating ICQ
- iv. Carrying out head count of employees.

Outsourcing of the internal Audit function.

- Quality of service is higher
- Cost of savings
- The firms is able to learn in the hands of expert.
- The company can concentrate on its core business.
- Focused efforts

- The services contract can be for the appropriate time scale.
- It can provide an immediate internal audit function with minimum set-up time and cost.

Disadvantages

- Risk of leakage of confidential information.
- Management may lose control over its function.
- The professional fee tends to be very high
- The service provider may not be available on emergency
- It reduces the learning curve due to over dependence on the professional firm.
- Huge redundancy cost if the company had an in house department.

Joint Audit.

- Is an audit engagement where two or more audit an entity's F.S and to jointly issue an auditor's report?

Principles of Joint Audit, Roles and Responsibilities.

- The joint auditor is jointly and severally responsible for the audit with the other joint auditors.
- They are jointly responsible for the audit opinion expressed.
- The joint auditor is responsible for the work of the other joint auditors.
- The joint auditor is to issue a single joint audit opinion.

Principal audit procedure

- Nature, timing and extent of work to be performed in an audit of F.S
- The joint auditors should follow the principle and requirement in accordance with the applicable framework.
- The joint auditor establishes and agrees the overall audit strategy for the engagement.
- If the joint audit is, an initial audit is an initial audit engagement they will be required to perform work on opening balances.

Communication

- The joint auditor should communicate with the other joint auditors on a timely basis. This communication should include but not limited to;
 - The relevant ethical requirements
 - Quality control system
 - Identified significant risk of misstatement of Financial Statement.
 - Information of instances of non-compliance with laws and legislation
 - Indicators of possible management Bias.

Audit Documentation

- The joint auditor should also include in the audit documentation, but not limited to;-
 - Professional competence and independent matters
 - Agree work allocation between the auditors
 - Analysis of significant risk areas
 - Audit planning and materiality
 - Fraud risk assessment
 - Additional audit procedure if NY
 - Joint consultation
 - Conclusion memorandum
 - Letter of representation.

Advantages of joint audit.

1. Improved service
2. Improved geographical location.
3. It gives an additional assurance to the client.
4. The joint auditors share liability.
5. It facilitates faster completion of the audit.
6. Leads to cost reduction due to synergy.

Disadvantages

1. It may be expensive for the client.
2. Audit methods for different firms may not easily reconcile
3. Close control over division of work is not easy to attain
4. May lead to loss of future clients

➤ Using the work of Another Auditor – ISA 600

- Principal Auditor – the auditor with responsibility for reporting on the F.S of an entity.
- Other audit – means another auditor other than the principal auditor.
- Component – means a division, branch, subsidiary, joint venture etc.

Principal auditor's procedures

- The principal auditor should consider the significant findings of the other auditor.
- The principal auditor may consider it appropriately to discuss with the other auditor and management of the component the audit findings.

AUDIT COMMITTEES.

- A audit committee is a sub- committee of BOD consisting of 3.5 non- executive directors which function to assist the board fulfil its responsibilities

Composition

1. Member must be NEDs
2. Must be financial literate
3. Must have sufficient knowledge of the industry
4. Should be elected by the full board.

Objectives

1. To improve quality of financial reporting
2. To enable NED to play a more positive role
3. Provide liaison between external and internal auditor.
4. Assist the board to the governance process.

Duties/ function.

- To review the intern and annual F.S before submission to the board.
- To recommend appointment of external auditors.
- To review management accounts
- To monitor progress of the audit.
- To review company's statement letters.
- To review external auditor's management letter.

Advantages

1. Acts as a deterrent against commission of illegal acts.
2. Make the NED is more aware of their roles.
3. Enhances efficiency audit effectiveness.

4. Improve communication between director's management and auditors.
5. It strengthens the roles of NED

Disadvantages/ pitfalls

1. Difficulty in selecting members.
2. Increased cost.
3. They may split the board and create conflict
4. They would be powerless if they cannot enforce their recommendation.
5. Since the findings are not made public, it is not always public; it is not always clear what they do.

Working Relationship Between audit committee and external auditor.

- a. The committee discusses any intention to qualify the audit report with the auditor.
- b. The committee discusses any problem in accounting treatment of contentious issue with the auditor.
- c. The committee discusses matters where the management and the auditor disagrees.
- d. The committee provides a forum liaison between finance director and external auditor.
- e. The committee helps the auditor to obtain the information that is required for the audit.
- f. The committee deals with any serious reservation that the auditor may express.

Measures put in place by the corporate governance requirement for listing of company.

1. Setting up a remuneration committee.
2. Ensure that an effective board heads the company.
3. Ensuring the board is provided with necessary information to enable it execute its responsibility.
4. Ensure that they have formal and transparent procedure of appointing members of the board.

PUBLIC SECTOR AUDIT AND GOVERNANCE

- Governance is defined as the combination of processes and structures implemented by the board to inform direct, manage and monitor the organizations activities toward the achievement of its objectives.

Public sector Auditing.

- Is a systematic process of objectively obtaining and evaluating evidence to determine whether information or actual condition conform to established criteria.

Roles of Public Sector Auditing.

- Enhancing accountability and transparency.
- Creating incentives for change.
- Support the governance responsibilities of oversight insight and foresight.
- Reinforcing the effectiveness of those bodies within the constitutional arrangement that exercise general monitoring and corrective function over government.

Elements of an effective public sector audit.

- Organizational independence
- A formal mandate
- Unrestricted Access.
- Sufficient funding.
- Competitive leadership.
- Stakeholder support.
- Professional audit standards.

Fundamental principles applicable to public sector Audit Engagement.

- **General principles**
 - Ethics and independence
 - Professional Judgement, due care and scepticism.
 - Quality control

- Auditors should possess or have access to the necessary skills.
- Audit risk.
- Auditors should consider materiality throughout the audit process.
- Documentation.
- Communication

Principle Related to the audit process

- **Planning an audit.**
- Auditors should obtain understanding of the nature of the entity.
- Auditors should conduct risk assessment.
- Auditors should perform audit procedure that provide sufficient appropriate audit evidence to support the audit report.

Types of public Sector Audit

- **Financial audit** – focuses on determining whether an entity's financial information is presented in accordance with the applicable FRF.
- **Performance audit** – focuses on whether interventions, programmes and institutions are performing in accordance with the principle of economy, efficiency and effectiveness.
- **Compliance Audit** – Focuses on whether a particular subject matter complies with authorities identified as criteria.

International Standards of supreme Audit Institution.

- They state the basis prerequisite for the proper functioning and professional conduct of supreme audit institutions and the fundamental principles in auditing of public entities.

Kenya National Audit office.

- Article 229 states:
- There shall be an auditor general who shall be nominated by the president and with the approval of the national assembly, appointed by the president.
- Within 6 months after the end of each financial year the auditor general shall audit and report, in respect of the financial year on;-
 - Accounts of the national and country government.
 - Accounts of all courts
 - The public debt
 - Accounts of political parties funded from public funds.
 - Account of every commission and independent offices.
 - National assembly, senate and county government.
- Article 248, sec 3 states;
 - Auditor- general
 - Controller of budget.

Roles and Function of the Auditor General.

- The auditor general work is designed to give assurance to parliament, public entities, and members of the public, that public entities are fairly reflecting the results of their activities in their annual reports.
- The auditor- general also keeps an eye on whether public entities are carrying out their activities effectively and efficiently.

Work of the Auditor General.

- Carries out annual audit.
- Carries out performance audit.
- May inquire into any matter relating to public entities.

- Must audit every local authority's long- term plan.

➤ In annual audit, the auditor;

- Examines an entities F.S performance information, and other information that must be audited.
- Assess the results of that examination against a recognized framework.
- Forms and report an audit opinion.

Performance Audit.

➤ A performance audit examines one or more of the following aspects of a public entities performance.

- Effectiveness and efficiency.
- Compliance with statutory obligation.
- Use of public resources.
- Probity.
- Financial prudence.

Inquires.

- The auditor general can inquire into any matter relating to a public entity's use of resources.
- The auditor- general can also conduct a formal inquiring into, and report to parliament on, any matter of high public interest.
- The auditor general considers whether the matter is in their mandate under the public Audit Act.
- The Auditor – General cannot be ordered to conduct an inquiring.
- The auditor general has wide powers to request information, and decides what information to disclose or include in a report.

COMMUNICATION WITH THOSE CHARGED WITH GOVERNANCE – ISA 260

Those charged with governance

- The person(s) or organization(s) with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity.

Objectivity of the auditor.

- To communicate clearly with those charged with governance the responsibilities of the auditor in relation to the Financial Statement audit, and an overview of the planned scope and timing of the audit.
- To obtain from those charged with governance information relevant to the audit.
- To provide those charged with timely observations arising from the audit.
- To promote effective two- way communication between the auditor and those charged with governance.

Matters to be communicated.

- i. The auditor's responsibility in relation to the Financial Statement.
- ii. Significant findings from the audit.
- iii. Significant difficulties if any, encountered during the audit
- iv. Significant matters arising during the audit that where discussed, or subject to correspondence with management.
- v. Written representations the auditor is requesting.

Planned scope and Timing of the audit

- How the auditor plans to address the significant risk of material misstatement, whether due to fraud or error.
- How the auditor plans to address areas of higher assessed risks of material misstatement.
- The auditor approach to internal control relevant to the audit.
- The application of the concept of materiality in the context of an audit.
- The nature and extent of specialized skill or knowledge needed to perform the planned audit procedures or evaluate the audit results, including the use of an auditor's expert.

AUDITING IN A COMPUTERISED ENVIRONMENT

Types of control activities

There are two broad groupings of control activities in information processing

- General IT controls
- Application controls

General IT controls include controls over the access to the computer and its records, the development of programs, prevention of unauthorised changes to systems, maintaining backup files, antivirus programs and firewall defences. Such controls are 'general' because they support many applications (eg inventory management, payroll processing, trade receivables, etc).

It is probably worth pointing out at this stage the dangers that are inherent in poor development or unauthorised changes in programs. For example if I wanted to commit a fraud through the salary system, there are two ways. First I could change my salary (ie change data) so that every time I was paid, I would be paid too much. That's an easy but very obvious way of committing a fraud. The second way is to change the salaries program so that when my personnel number is being processed, my salary is increased. That needs a simple 'if – then' statement: if my personnel number then increase salary by, say, 25%. Numerically that will work just as well, but will be a 'better' fraud because it will be much more difficult to detect how it was done.

Although this has been dramatised using fraud, the greater potential of improperly authorised program changes lies in simple mistakes. If you alter a program, for example, the wages and salary income tax calculations or the VAT calculations, so the amounts of tax are incorrectly calculated, then the organisation can be liable for very large penalty payments to the tax authorities.

Application controls are "designed to ensure the integrity of the accounting records" (ie transactions occurred, are authorised and completely and accurately processed and recorded). They may be:

- Manual or automated
- Preventative or detective.

Examples of specific applications include sales, purchases, wages and salaries. You need controls over:

- The initiation of input
- Recording the transactions
- Processing of transactions
- Reporting output

Input controls

Control over input is particularly important as once a transaction gets into a computerized system, often there is no further human intervention. Therefore, if incorrect data is input, there is a high chance that it will be processed to its conclusion

Input controls generally aim to ensure completeness (C) and/or accuracy (A). Methods include:

- **Sequence checks (C)** Checking the completeness of a sequence of pre-numbered Documents before they are input and processed.
- **Edit checks (A)** Examining the data for content and format to identify unfeasible or otherwise incorrect data. Edit checks include range checks (the input has to be within a certain range of values), format checks (eg every account number is six digits long), dependency checks (so that a date like 31/2 would not be permitted), check digits (where numbers are specially constructed to obey certain mathematical rules).
- **One-for-one checks (C)** For example, checking that every hourly-paid employee has Submitted a clock card.
- **Control (or batch) totals (A and C)** Add up the value of documents before they are input. The computer then re-performs the calculation to check accuracy and completeness of input.

As described, these input controls may be described as preventative.

1. Controls over standing data

Standing data, sometimes called reference data, is data which doesn't change very much but which is used or referred to many times. A good example is the selling price of a product or wage rate for an employee or discount rate for a customer. The problem is that once these amounts are put in, they tend not to be examined continually by employees. A price once set up could last for many months and if it's wrong can affect many invoices. So you have this rather unfortunate situation where the data once input is then subsequently largely ignored by the people involved, but it is capable of producing errors over and over and over again.

The only way we can be sure that that data is correct is to take deliberate steps to check it. So some organisations print out their standing data, perhaps 10% every month, and distribute that to people who should know whether or not it is correct. These people sign off the print-outs to certify that the data appears to be right.

2. Processing controls

With respect to processing controls, really we want to know what processing has been done, and ideally we would like some indication if processing appears to be odd or out of sequence. As a simple example, let's say that the wages and salary accountant is off sick towards the end of the month. How do you know whether or not that month's payroll has been run? You don't want to do it twice, but if you don't do it at all employees be very upset. Therefore, some kind of trace needs to be kept of what processing has been done, when it was done and, ideally, showing by whom.

Run logs and transaction logs can do this. Run logs give a high level description of the processing which has been performed. For example it might say monthly salaries run 29th of July, 1:45 p.m. initiated by J. Smith.

Run logs should be scrutinized regularly by a responsible official to look for runs which appeared to be odd, out of sequence or initiated by an expected person. Transaction logs are also sometimes produced. These are much more detailed printouts of exactly what transactions have been input and processed. For example, a transaction log might simply be a printout of all dispatches which have been turned into invoices in the week or all timesheets which have been submitted. These would not normally be scrutinized as a matter of course, but can be looked at if the run logs appear to show something which is suspicious

A 'run-to-run' control is a check that:

- the totals from one processing run (eg opening balances on the receivables ledger plus the sales invoices) and the input totals from the second processing run (eg cheques received) equals
- the result from the second processing run (eg closing balances on the receivable ledger).

3. Output controls

Output controls ensure that the results of the processing are complete and accurate. When **batch processing** is used, agreeing the total of the output to the pre-determined control total of the input is a control over the completeness and accuracy of processing the data. If it does not agree, it must be investigated. An 'exception report' may show:

- 'data no file' giving rise to rejected transactions (eg a payslip for a new employee not generated because the employee is not yet on the payroll), or
- 'file no data' flagging that input may be missing (eg no hours for an employee who has left but has not yet been taken off the payroll).

Controlled resubmission of rejected transaction is also an output control.

Output controls should also ensure that the results of processing are properly distributed. Output may be seen on a VDU/screen (that would be soft output), or could be printed (that's hard output). Control over access to output can be established by the use of passwords if displayed on a VDU. If it's printed, then you rely on the normal confidential ways of distributing confidential printed material: it should be put in envelopes, there should be a check on the number of copies produced, the date of production of the printout should also be present otherwise you can get confused between different editions, and the pages should be numbered. If the pages aren't numbered, you won't know whether or not you got all the printout, some printouts put 'End of Report' at the bottom of the last page so users know that some pages haven't become detached.

'Traditional' CAATs

There are two types of computer assisted audit techniques ('CAAT') relevant to the AA syllabus:

- Audit programs
- Test data

The techniques can add greatly to audit efficiency and effectiveness. For example, audit programs can very quickly read thousands of records, examining each according to the criteria set by the auditor. Test data can be used to investigate the operation of accounting programs that could not be easily tested in any other way. These are regarded as the 'traditional' techniques in computer auditing (ie applying audit procedures using the computer as an audit tool).

Audit programs

Audit programs (also called 'audit software') are used to examine and interrogate clients' accounting data. The auditor will have a program which can read the clients' files. That program can be used for the following:

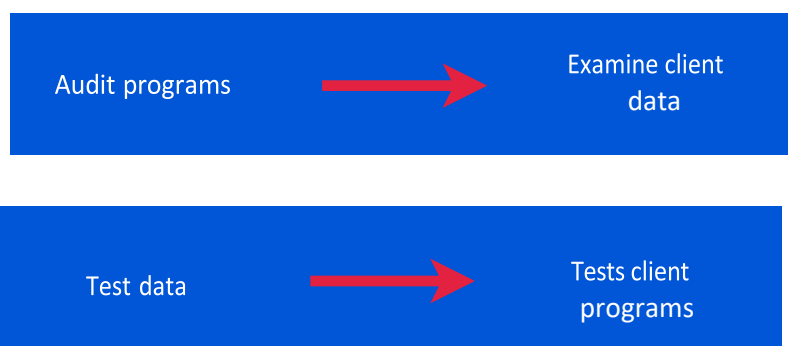
- To select a sample of transactions to investigate.
- The samples could be automatically stratified.
- The program might be set to identify odd transactions or balances. For example, credit balances on a receivables ledger, or inventory which hasn't moved for some time.
- It could also re-perform calculations. For example it is important to check that the sum of the receivables accounts add up to the balance shown in the nominal ledger and hence in the financial statements.

Test data

Test data is used to investigate the operations of client programs. The auditor designs 'dummy' data that is then processed by the client's programs. This enables the auditor to check whether or not the client's programs are operating correctly and as expected, and whether or not the various controls which were supposed to be present are actually operating. For example what happens if a dispatch is entered for a zero quantity or for a non-existing product or for a non-existing customer, or would raise the balance on the customer's account to above the credit limit? Test data is specially chosen data to check that the controls are present. There would be some normal error-free items, some unusual items and some extreme or unexpected items.

The auditor should predict what the client's program should do and then compare those predictions with what the client's program actually produces.

A problem with test data is that the auditor is processing dummy data. Therefore it is usual for test data to be run using copies of files (ie 'dead').



Data analytics

In general terms, data analytics is “the science of examining **raw** data to draw conclusions”. So an obvious audit application is in **analytical procedures** for risk assessment and as a substantive procedure (Chapter 10).

Commonly used data analytics tools or routines include:

- Comparing the last time an item was bought with the last time it was sold, for cost/NRV purposes.
- Inventory ageing and how many days inventory is in stock by item.
- Receivables and payables ageing and the reduction in overdue debt over time by customer.
- Analyses of revenue trends split by product or region.
- Analyses of gross margins and sales, highlighting items with negative margins.
- Matches of orders to cash and purchases to payments.
- ‘Can do did do testing’ of user codes to test segregation of duties and whether any inappropriate combinations of users have been involved in processing transactions.
- Detailed recalculations of depreciation on an item-by-item basis using the entire data set and exact dates.
- Analyses of capital expenditure vs repairs and maintenance.
- Three-way matches between purchase/sales orders, goods received/dispatched documentation and invoice

